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Sustainable Investing 2026 mid-year Outlook

Catching our breath

Flows and performance: respite, finally... Despite growing by 3% YTD to reach US\$3.8tn in April, the market share of sustainable funds has declined further, to 5.6% of global AuM. Relative performance has been broadly in line. In equities, European sustainable funds marginally outperformed European broad market funds, while sustainable US funds underperformed slightly. In fixed income, sustainable fund performance was positive and roughly in line with the broader market. As a result, sustainable flows in equities have shifted from outflows to neutral, while fixed income continues to register inflows. Although outflows from sustainable equity seem to have stopped, we believe that material inflows will be contingent on relative performance improving in a consistent fashion.

... But tech introduces downside risks for the performance of sustainable equity funds. Globally, sustainable funds often appear to be underweight technology relative to the broad market due to the former having a European bias, which has less tech, and the latter having a US bias, which is more tech heavy. Regionally, our strategists have a preference for Europe over the US, but at the same time, they have laid out a very strong case for the outperformance of the AI theme, which is more US-centric. It is unclear how these cross-currents will continue to play out within sustainable funds. The downside risk is more pronounced today vs. our last outlook, as the preference for tech has broadened beyond the US, with our EM and Japan strategists also OW the sector.

Six screens for sustainable idea generation. We feature three global screens focusing on grids, battery supply chains and adaptation to climate change, two screens in EMEA on “electro-sovereignty” and “Shareholder activism”, and one with low-carbon winners in the US. These offer 20-51% upside on average. We also discuss how to position for El Niño in LatAm and Asia.

Issuance outlook: Euro GSS+ issuance has tracked slightly higher as a proportion of the overall market, following the gradual decline seen over 2022-2025. Elsewhere, GSS issuance has continued its steep decline in the GBP IG and Euro high yield markets, and remains marginal in the US. Going forward, we expect the share of EUR GSS+ issuance to be flat or slightly down.

Global policy remains generally supportive of sustainability: The EU signaled its commitment to the climate agenda by approving a target to reduce 90% GHG emissions by 2040 vs. 1990 and continues its shift towards more pragmatic delivery. In the US policy remains supportive of baseload power sources, and capacity additions in renewables and storage for the 2026-27 period are expected to exceed, on average, those in 2025, although several potential policy/geopolitical headwinds remain (i.e. further clarification on FEOC guidelines). Finally, in Brazil we note several developments along the environmental pillar, and in Asia we continue to see momentum by governments and regulators to improve corporate governance and sustainability reporting.

Sustainable Investing Research

Virginia Martin Heriz ^{AC}

(44-20) 7134-5197
virginia.martinheriz@jpmorgan.com
J.P. Morgan Securities plc

Arthur Pereira, CFA ^{AC}

(55-11) 4950-4101
arthur.pereira@jpmorgan.com
Banco J.P. Morgan S.A.

Danielle Ward, CFA ^{AC}

(44-20) 7742-7344
danielle.x.ward@jpmorgan.com
J.P. Morgan Securities plc

Ethan Ross ^{AC}

(1-212) 622-5281
ethan.ross@jpmorgan.com
J.P. Morgan Securities LLC

Hannah L Lee ^{AC}

(852) 2800-8886
hannah.l.lee@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Jean-Xavier Hecker ^{AC}

(33-1) 4015 4472
jean-xavier.hecker@jpmorgan.com
J.P. Morgan Securities plc

Mark Streeter, CFA ^{AC}

(1-212) 834-5086
mark.streeter@jpmorgan.com
J.P. Morgan Securities LLC

Mark Strouse, CFA ^{AC}

(1-212) 622-8244
mark.w.strouse@jpmorgan.com
J.P. Morgan Securities LLC

William Summer ^{AC}

(44-20) 7742-6079
william.summer@jpmorgan.com
J.P. Morgan Securities plc

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Meet the sustainable investing analysts around the world

Global Cross-Asset



Virginia Martin Heriz
 Global Coordinator of Sustainable Investing
 virginia.martinheriz@jpmorgan.com



Harrison Jamin
 Global Sustainable Investing
 harrison.jamin@jpmchase.com

Fundamental



Jean-Xavier Hecker
 Head of EMEA Equity Sustainable Investing
 Jean-xavier.hecker@jpmorgan.com



Hannah Lee
 Head of Asia Pacific Equity Sustainable Investing
 hannah.l.lee@jpmorgan.com



Mark S. Streeter, CFA
 Co-Head of Sustainable Credit Investing
 mark.streeter@jpmorgan.com



Danielle Ward, CFA
 Co-Head of Sustainable Credit Investing
 danielle.x.ward@jpmorgan.com



Mark Strouse, CFA
 Head of NA Equity Sustainable Investing
 mark.w.strouse@jpmorgan.com



Hugo Dubourg
 Equity Sustainable Investing, EMEA
 hugo.dubourg@jpmorgan.com



Jeremy Tonet, CFA
 NA Equity Sustainable Investing
 jeremy.b.tonet@jpmorgan.com



Noemie de la Gorce, CFA
 Equity Sustainable Investing, EMEA
 noemie.delagorce@jpmorgan.com



Diego Celedon
 Equity Sustainable Investing, LatAm
 diego.celedon@jpmorgan.com



Arthur Pereira, CFA
 Equity Sustainable Investing, LatAm
 arthur.pereira@jpmorgan.com



Cinthya M Mizuguchi
 Equity Sustainable Investing, LatAm
 cinthya.mizuguchi@jpmorgan.com



Amy Sze, CFA
 Sustainable Credit Investing
 amy.sze@jpmorgan.com

Quantitative



Khuram Chaudhry
 Head of Global Quantitative Strategy
 khuram.chaudhry@jpmorgan.com



William Summer
 European Equity Quantitative Strategy
 william.summer@jpmorgan.com

Index



Ethan Ross
 Sustainable Index Specialist
 ethan.ross@jpmorgan.com

If you only have five minutes

Flows and performance: respite, finally, but...

Despite growing by 3% YTD to reach US\$3.8tn in April, the market share of sustainable funds continues to slide and now represents 5.6% of global funds AuM. Relative performance has been broadly in line. In equities, European sustainable funds marginally outperformed European broad market funds, while sustainable US funds underperformed slightly. This is not dissimilar to the expectations we laid out in our FY outlook, where we flagged that superimposing our strategists' sector allocation onto the tilts found in the average sustainable fund did not yield a clear conclusion on the direction of performance. In fixed income, sustainable fund performance was positive, and roughly in line with the broader market. As a result, sustainable flows in equities have shifted from outflows to neutral, with European inflows offset by outflows in Asia and the US, while fixed income continues to register inflows both in Europe and the US. Although the flow dynamic in sustainable equity funds seems to have stabilized, we believe that material inflows into the asset class will be contingent on relative performance improving in a consistent fashion.

Macro: this could hurt

If we left IT out of the equation, the implications of our Strategists' preferred sector allocations on the performance of sustainable funds would be broadly neutral when we superimpose them with the tilts found in sustainable funds. Excluding IT, the other sector views roughly cancel each other out: the positioning of sustainable funds in utilities, industrials and energy aligns to our Strategists' views in those sectors, whilst communication services and real estate could act as headwinds to sustainable fund performance.

Tech introduces downside risks, though. Globally, sustainable funds often appear to be underweight technology relative to the broad market due to the fact that the former has a European bias, which has less tech, and the latter has a US bias, where the tech sector accounts for a much higher proportion of the market. Regionally, our strategists have a preference for Europe, where they are OW, over the US, where they hold a Neutral. At the same time, however, they have laid out a very strong case for the outperformance of the AI theme, which is more US-centric. It is unclear how these cross-currents will continue to play out within sustainable funds. The downside risk, however, is more pronounced today vs. our last outlook, as the preference for tech has broadened beyond the US, with our EM and Japan strategists also OW the sector.

Global policy tour

Europe: pragmatic decarbonization

The EU signaled its commitment to the Green Deal and the broader climate agenda by amending the European Climate Law to target a 90% GHG reduction by 2040 versus 1990, but continues its shift towards more pragmatic delivery. The key shift is a broader mix of "sticks and carrots": carbon pricing and regulation are being paired with subsidies, state aid, public procurement, targeted protectionism, and infrastructure investment. Climate policy remains focused on decarbonization (electrification to account for 32% in final energy consumption in 2030 from 23% in 2024), circularity (target doubling by 2030), and nature protection (EUDR kicks in December), while easing burdens on firms and households and supporting competitiveness, energy security, and industrial sovereignty. Adaptation is also rising on the agenda. Finally,

simplification efforts are ongoing on Sustainable Finance Investing regulations and directives, as exemplified by the current legislative process to reform the Sustainable Finance Disclosure Regulation (SFDR). We estimate that at least ~24% of European equity assets might remain in “sustainable products” under the new regime, compared to >50% of AuMs currently accounted for by Article 8/9.

The UK continues to tighten its net zero pathway, pairing the proposed Seventh Carbon Budget with measures to scale clean power—via renewables, electricity market reforms, and ongoing commitments to nuclear. In parallel, recent sustainable finance updates signal a pragmatic approach focused on ISSB alignment while limiting incremental reporting burdens for companies.

US: noise vs. facts

The OBBBA is supportive of baseload power sources, with unchanged or extended tax credits for geothermal, energy storage, nuclear and fuel cells. The expiry date for solar and wind tax credits for project owners was pulled forward to YE27, though safe harbor rules allow owners to lock-in tax credits thru YE30 under certain conditions. Overall, capacity additions in renewables+storage for the 2026-27 period are expected to exceed on average those in 2025. Beyond that, BNEF projects a decline in 2028-29, and a renewed acceleration afterwards.

Several potential policy/geopolitical headwinds remain: (1) the DoC’s Section 232 investigation into US imports of polysilicon could increase costs for solar, (2) The requirement that all solar and wind projects touching federal land must receive the Interior Secretary’s sign-off to receive a permit could introduce potential project-specific risks, (3) there could be a prolonged legal battle regarding the legality of President Biden’s two year AD/CVD moratorium between June 2022-June 2024, and (4) stricter than expected FEOC guidelines could pose risks to the industry.

On policy, the past months have seen a revoking of the EPA’s 2009 “endangerment finding” that greenhouse gases threaten public health and welfare, undermining the legal basis for federal regulation of GHG emissions. This has been coupled with broad regulatory rollbacks, including plans or actions to abolish greenhouse gas standards for cars and trucks, weaken fuel-economy and tailpipe rules, loosen pollution controls on fossil-fuel power plants, and narrow Clean Water Act protections. At the same time, the Administration has proposed deep cuts to NOAA, NASA, and other research programs for 2027, although it is unclear that they will materialise: 2026 saw similar proposals, but they were broadly rejected by Congress.

LatAm: focus on the environmental pillar

Brazil’s ongoing momentum on environmental policy is exemplified by (1) upcoming energy storage regulated auctions at the end of the year, (2) compliance markets moving from paper to execution, with a three-phase implementation timeline from 2027 to 2031 being proposed, (3) the introduction of no-deforestation requirements to receive subsidized rural loans. By contrast, the regulator has backtracked from mandatory ISSB disclosure, which will only be voluntary.

Asia: ongoing governance tsunami and energy security prioritization

Following the State Council’s release of a 2035 target date for a “more refined, modern corporate system with distinctive Chinese features” last year, the Asset Management Association of China (AMAC) released what can be interpreted as the first Stewardship

Code for the A-share market, increasing pressure on asset managers to vote and disclose how they vote. Although the “distinctive Chinese features” mentioned by the State Council include features that reference Party leadership and alignment with national strategies, the emphasis on protection of minority shareholders, corporate governance, ESG responsibilities and information disclosure are still in line with the spirit of corporate governance standards elsewhere. Focus on governance principles remains top of the agenda in Korea with recent amendments to the Commercial Act and ongoing work to strengthen the Stewardship Code. In Japan, the newly proposed stewardship code marks a departure from box-ticking towards the articulation of how retained capital supports a coherent growth strategy and proposes increasing the ratio of independent directors.

At the intersection of energy and climate, China’s 15th Five-Year Plan was approved on March 12th, with two numerical anchors around clean energy security: non-fossil energy (wind, solar, hydro and nuclear) reaching 25% of total consumption by 2030 and grid capex potentially exceeding Rmb 5 trillion over the plan period.

Momentum in corporate sustainability disclosures continues, with listed companies in Hong Kong to begin reporting against ISSB-aligned standards this year, whilst in Korea large companies on the KOSPI will be required to begin sustainability reporting in 2028.

Sustainable equity alpha: we are all energy analysts now

We propose six screens implementing the key alpha-delivering trends we see for the next twelve months. Globally, our grids, battery supply chains and adaptation to climate change screens offer on average potential upsides of 20%, 39% and 30%, respectively. The stocks in our “electro-sovereignty” screen featuring ideas on electrification, nuclear, autos and grids in EMEA have an average upside of 26%. Staying in the region, we have also collated a “Shareholder activism” screen where shareholder activism is a key feature of our fundamental analysts’ investment case, with 51% upside on average. Finally, in the US we highlight the low-carbon winners to be lifted by increasing energy demand, with an average 28% upside.

Sustainable fixed income

Issuance outlook: tug of war between corporate supply and investor demand

Euro GSS+ issuance has tracked slightly higher as a proportion of the overall market, following the gradual decline seen over 2022-2025, with green bonds dominating at 90% of issuance, whilst SLB share continues to shrink further. Elsewhere, GSS issuance has continued its steep decline in the GBP IG and Euro high yield markets, and remains marginal in the US. Going forward, we expect the share of EUR GSS+ issuance to be flat or slightly down: while GSS issuance is tracking slightly ahead YTD, we note that this has been heavily weighted by issuance from Financials, with the pace now likely to slow in H2. Interestingly though, coverage ratios have continued to exceed those for vanilla paper throughout the year, suggesting robust demand from investors.

EU renewables credit: keep your options open

Even though sentiment from some European clients who anticipate a resurgence in renewables investing seems to be shifting, our credit analysts are keeping their options open and maintain a preference for diversified integrated utilities that retain a meaningful renewables component in their business mix.

Sustainable index update

Q1 2026 saw the completion of the key action points from the last set of governance meetings in Q3 2025: the rebrand of the J.P. Morgan Screened Tilted and Reweighted (JSTAR) suite from its previous name of J.P. Morgan ESG (JESG), as well as the migration of ESG data from Sustainalytics' legacy products to Sustainalytics' current products for both corporate and sovereign issuers.

The next JSTAR Forum will be held later this year and cover several agenda topics, including an update on RepRisk's enhanced issuer mapping proposal, index substitutions within the Verisk Maplecroft ESG Rating, index treatment of uncovered issuers, and proposals for new sustainable index products.

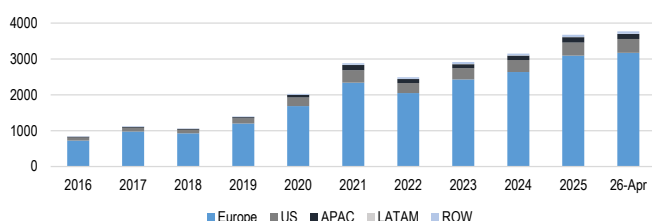
Performance review and outlook

Flows and performance: respite, finally, but...

Despite growing by 3% YTD to reach US\$3.8tn in April (Figure 1), the market share of sustainable funds continues to slide and now represents 5.6% of global funds AuM (Figure 2). The vast majority of sustainable assets are domiciled in Europe (84%), with a further 10% based in the US (Figure 3). Within the sustainable universe, equity funds account for 67% of assets, and over 50% in each region (Figure 4).

Figure 1: Sustainable AuM has stabilized YTD...

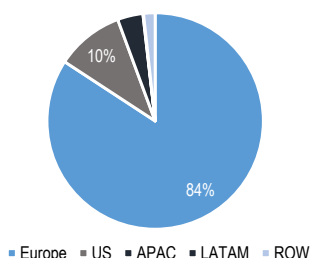
Global sustainable AuM (US\$bn)



Source: J.P. Morgan, Morningstar. Data as of April 30th 2026

Figure 3: European funds account for the vast majority of sustainable assets

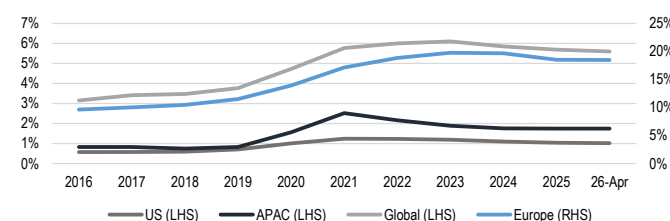
AuM of Sustainable Funds, by domicile (%)



Source: J.P. Morgan, Morningstar. Data as of April 30th 2026

Figure 2: Sustainable AuM market share

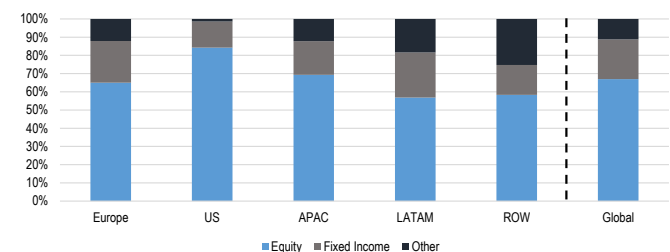
Sustainable AuM market share by region (%)



Source: J.P. Morgan, Morningstar. Data as of April 30th 2026

Figure 4: Equity funds account for roughly two-thirds of sustainable funds

AuM of Sustainable Funds, by asset class and region (%)

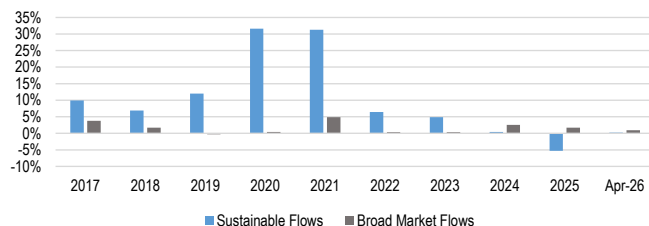


Source: J.P. Morgan, Morningstar. Data as of April 30th 2026

Sustainable equity have seen marginal inflows in the first four months of the year; this contrasts with 2025, where the asset class saw outflows (Figure 5). European inflows were offset by outflows in Asia and the US (Figure 6).

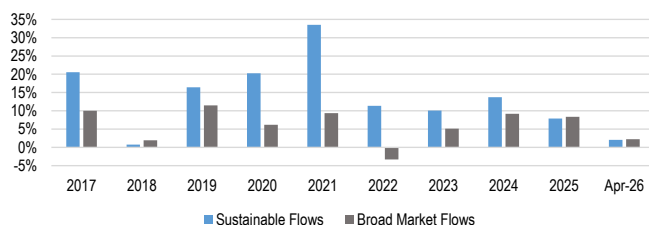
Sustainable fixed income continues to register inflows, and these have come in roughly in line with broad market funds (Figure 7). By region, sustainable flows were better than the broad market in Europe, and worse in the US. Asia registered outflows, and these were of a larger magnitude (as % of AuM) in sustainable funds (Figure 8).

Figure 5: Equity flows



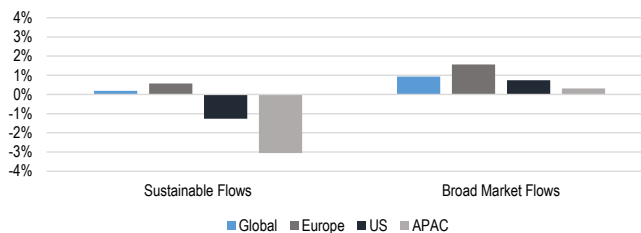
Source: J.P. Morgan, Morningstar. Data as of April 30th 2026

Figure 7: Fixed income flows



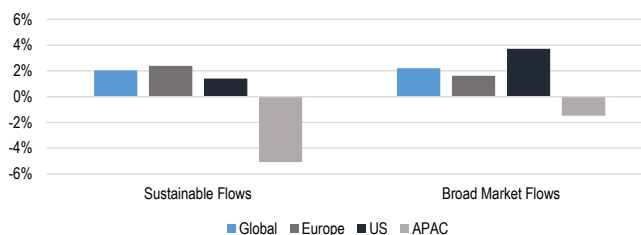
Source: J.P. Morgan, Morningstar. Data as of April 30th 2026

Figure 6: YTD equity flows by region



Source: J.P. Morgan, Morningstar. Data as of April 30th 2026

Figure 8: YTD fixed income flows by region



Source: J.P. Morgan, Morningstar. Data as of April 30th 2026

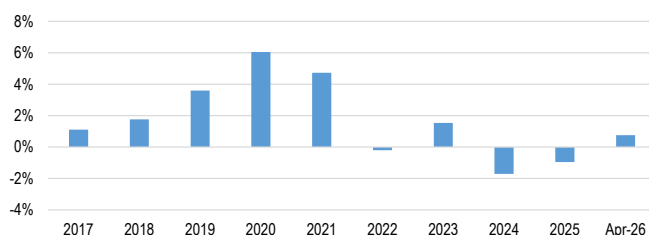
Relative performance up to April has been broadly in line.

In equities, European sustainable funds marginally outperformed European broad market funds (Figure 9), while sustainable US funds underperformed slightly (Figure 10). This is not dissimilar to the expectations we laid out in our FY outlook, where we flagged that superimposing our strategists' sector allocation onto the tilts found in the average sustainable fund did not yield a clear conclusion on the direction of performance.

In fixed income, both sustainable funds in Europe and in the US performed in line with their respective broad market funds (Figure 11 and Figure 12).

Figure 9: Sustainable equity funds outperformed in Europe by 0.8% YTD...

Annualized returns of sustainable and broad market European equity funds (%)

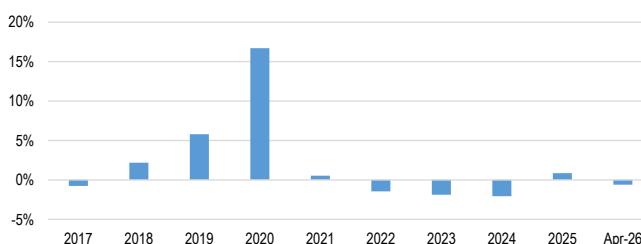


Based on EUR returns.

Source: J.P. Morgan, Morningstar. Data as of April 30th 2026

Figure 10: ...and underperformed by 0.6% in the US

Annualized returns of sustainable and broad market US equity funds (%)

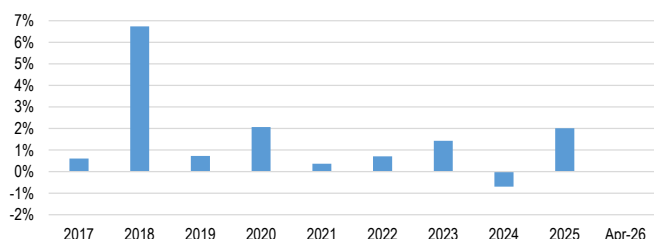


Based on USD returns.

Source: J.P. Morgan, Morningstar. Data as of April 30th 2026

Figure 11: European sustainable fixed income funds performed in line with the broad market...

Annualized returns of sustainable and broad market European fixed income funds (%)

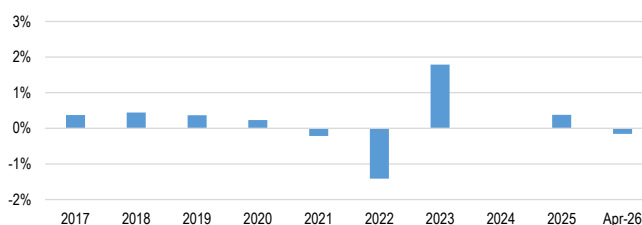


Based on EUR returns.

Source: J.P. Morgan, Morningstar. Data as of April 30th 2026

Figure 12: ...whilst US Sustainable fixed income funds registered very marginal underperformance

Annualized returns of sustainable and broad market US fixed income funds (%)



Based on USD returns.

Source: J.P. Morgan, Morningstar. Data as of April 30th 2026

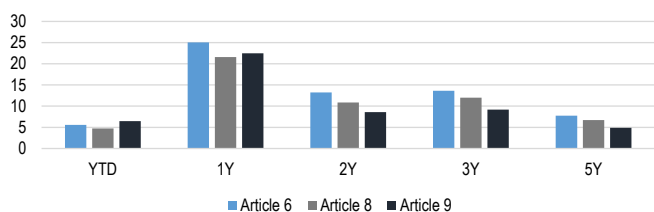
SFDR funds: assets rising, returns uneven

Funds that classify themselves as Article 8 or 9 under SFDR accounted for 49% of the European fund market in April. In equities, assets in Article 8 and 9 funds have grown by 0.4% and 5%, respectively, in the first four months of 2026. In fixed income, assets in Article 8 and 9 funds have grown by 2% and 0.4%, respectively, in the same period.

In equities, Article 8 funds have slightly underperformed Article 6 funds YTD, while Article 9 funds have slightly outperformed Article 6 funds (Figure 13). However, Article 8 and 9 equity funds have both underperformed Article 6 funds over longer time horizons. Inflows over the period have been concentrated in Article 6, followed by Article 8, while Article 9 funds have experienced outflows (Figure 14).

In fixed income, Article 6, 8 and 9 funds have performed broadly in line YTD (Figure 15), and have all experienced inflows over the period (Figure 16).

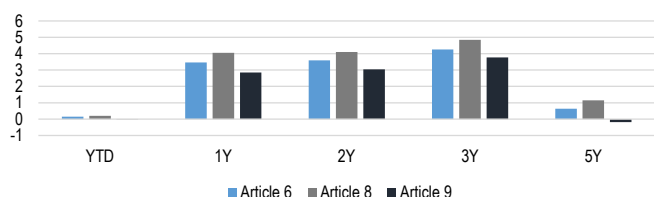
Figure 13: SFDR equity returns



Based on local currency returns.

Source: J.P. Morgan, Morningstar. Data as of April 30th 2026

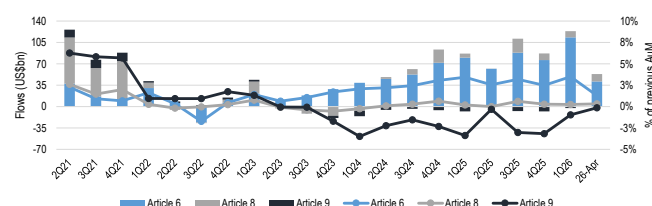
Figure 15: SFDR fixed income returns



Based on local currency returns.

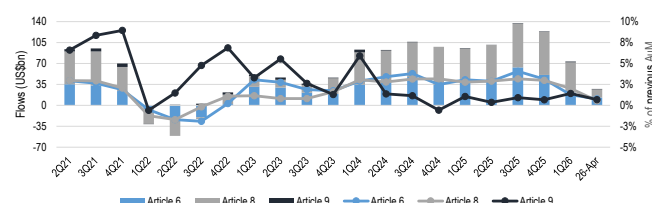
Source: J.P. Morgan, Morningstar. Data as of April 30th 2026

Figure 14: Quarterly flows SFDR equity



Source: J.P. Morgan, Morningstar. Data as of April 30th 2026

Figure 16: Quarterly flows SFDR fixed income



Source: J.P. Morgan, Morningstar. Data as of April 30th 2026

Looking to the future: tech could hurt

If we left IT out of the equation, the implications of our Strategists' preferred sector allocations on the performance of sustainable funds would be broadly neutral when we superimpose them with the tilts found in sustainable funds. Excluding IT, the other sector views roughly cancel each other out: the positioning of sustainable funds in utilities, industrials and energy aligns to our Strategists' views in those sectors, whilst communication services and real estate could act as headwinds to sustainable fund performance.

Tech introduces downside risks, though. Globally, sustainable funds often appear to be underweight technology relative to the broad market due to the fact that the former has a European bias, which has less tech, and the latter has a US bias, where the tech sector accounts for a much higher proportion of the market. Regionally, our strategists have a preference for Europe, where they are OW, over the US, where they hold a Neutral. At the same time, however, they have laid out a very strong case for the outperformance of the AI theme, which is more US-centric. It is unclear how these cross-currents will continue to play out within sustainable funds. The downside risk, however, is more pronounced today vs. our last outlook, as the preference for tech has broadened beyond the US, with our EM and Japan strategies also OW the sector.

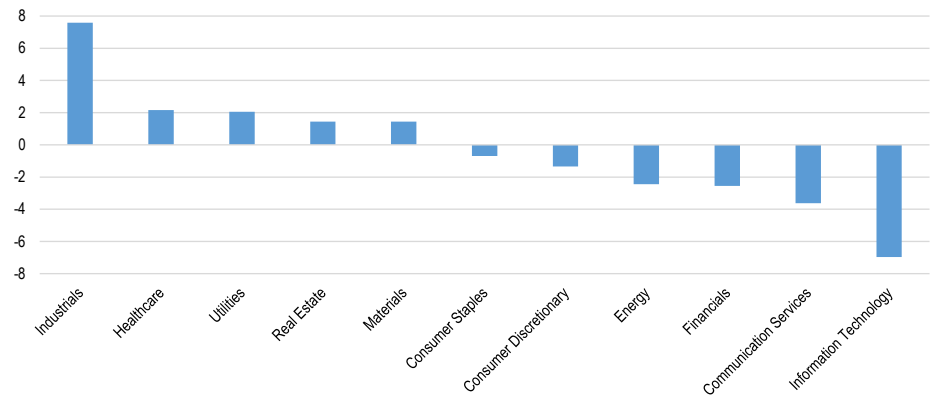
Table 1: Global Strategy sector calls

Sector	US	Europe	Japan	EM
Materials	UW	OW	OW	OW
Information Technology	OW	N	OW	OW
Communication Services	OW	N	N	N
Utilities	OW	N	UW	N
Industrials	N	OW	N	N
Consumer Discretionary	N	OW	N	N
Consumer Staples	N	UW	UW	UW
Health Care	N	N	UW	UW
Financials	N	N	OW	OW
Real Estate	UW	N	N	N
Energy	UW	UW	OW	OW

Source: J.P. Morgan

Figure 17: Sector exposure of sustainable funds

Sector exposure of sustainable equity funds relative to the MSCI ACWI (%)



Source: J.P. Morgan, Morningstar, MSCI. Data as of April 30th 2026

ESGQ: An Inadvertent AI Hedge

What is ESGQ? From our quantitative lens, we look at the world of sustainability by using JP Morgan's ESGQ framework. ESGQ is a quantitative tool to help investors pick stocks in a responsible way. In brief, we use: 1) stable ESG scores that capture the long-term corporate responsibility profile of a company, 2) use faster moving ESG data that isolate newsflow on potential controversies, and 3) add the Momentum in these scores to capture changes in sentiment and price behaviour

The first half of 2026 has been a difficult one to read for ESG investors. A volatile geopolitical backdrop into late Q1 rewarded defensive, quality-tilted exposures and gave ESG strategies a brief moment of relative outperformance, before a concentrated AI hardware rally from late March pulled the index higher on leadership that most ESG-screened universes structurally underweight. The result is a market where the same characteristics that defined ESG investing through the post-2020 period, defensive sector composition and a tilt away from mega-cap Tech, have become the dominant source of underperformance. Whether that constitutes a problem or an opportunity depends on the lens, and that is the question this section addresses for our quantitative ESG strategy, **ESGQ**.

Our central finding is that **ESGQ** has not changed; the world around it has. The factor and sector profile of the strategy is broadly in line with its historical character, with the only material extension being a deeper IT underweight that now sits at roughly three times its long-run average. What has shifted is what the macro environment now signals: dollar strength tracks AI leadership rather than risk-on, falling yields pair with dispersion shocks rather than growth scares, and volatility regimes have changed character. The strategy's defensive identity is intact, but it is being expressed through a different macro signature than the full sample suggested.

The actionable takeaway is to think about **ESGQ** as offering two distinct defensive properties rather than one. The first is the classical equity-drawdown hedge, which the macro analysis confirms with a 6.9 percentage point asymmetry between falling and rising equity markets. The second is an implicit AI hedge, mechanically embedded in the IT underweight, which would translate into relative outperformance if disappointment around the financial returns of AI capex triggers a re-rating of the leadership cohort. The headwind on the long-only side and the hedge are the same position, which is the single most important thing to internalize about the strategy in this regime.

For allocators with significant AI exposure already in the portfolio, we note **ESGQ** offers a genuine diversification benefit. For those without it, long-short ESG appears the cleaner expression: **ESGQ** and **SQ** are in positive territory YTD on the back of wide stock and sector dispersion, while long-only ESG has paid the full cost of the AI underweight without the offsetting short leg. The sections that follow build the evidence behind this view, working through performance, valuation, sector and factor positioning, and macro sensitivities in turn.

Performance: Caught on the Wrong Side of AI

ESG quantitative strategies have experienced a mixed 2026 so far, and the macro backdrop explains most of the path. Geopolitical stress into late Q1 drove a roughly 10% S&P 500 drawdown that rewarded quality-tilted, lower-beta exposures, then a concentrated AI hardware rally from late March carried US equities back to new highs. The **ESGQ** universe is structurally underweight that complex, which is the proximate cause of the long-only drag and, as the sector and macro sections develop, the basis for treating the strategy as an implicit AI hedge rather than a strategy fighting the tape. Style leadership compounded the second-leg headwind: value is ahead of growth by 11% in the US, with small caps, high beta, and EM also leading, and the MSCI USA Energy has outperformed the MSCI USA by more than 20 percent YTD. The L/S strategy, with access to the short leg, has held its ground; long-only **ESGQ** has not.

Table 2: Global ESGQ Excess Long Performance 2026

YTD to 31st of May 2026

	YTD	1M	3M	6M	12M	3Y	5Y	Since Incpt
ESGQ	-2.4%	-2.3%	-6.7%	-2.7%	-9.1%	-19.1%	-20.3%	32%
EQ	-1.0%	-4.1%	-8.6%	-0.7%	-7.0%	-15.8%	-14.1%	15%
SQ	-4.5%	-2.1%	-7.3%	-4.9%	-14.7%	-20.6%	-25.8%	9%
GQ	-3.0%	-3.5%	-7.5%	-2.8%	-10.2%	-19.8%	-20.8%	16%

Source: J.P. Morgan Global Quantitative Strategy

SQ is the weakest long-only performer YTD and the heaviest loser over five years, consistent with the market punishing high-scoring names once the risk-on rotation took hold. **EQ** holds up best on the long leg but offers little cushion at longer horizons. **ESGQ** and **GQ** sit between the two, with three- and five-year excess returns deep in negative territory across the group. Long-only ESG has not paid for itself on any meaningful lookback, and the AI and semis complex that has driven both the US rebound and the April EM rally sits underweight in most ESG-screened universes. We document the magnitude of that underweight in the sector section and return to its defensive properties in the macro discussion.

Table 3: Global ESGQ L/S Performance 2026

YTD to 31st of May 2026

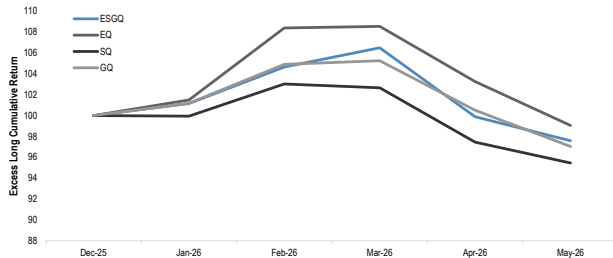
	YTD	1M	3M	6M	12M	3Y	5Y	Since Incpt
ESGQ	0.7%	-0.2%	-1.8%	-0.3%	-0.4%	-17.2%	-4.1%	99%
EQ	-5.0%	-2.7%	-7.7%	-4.0%	-6.2%	-17.9%	-4.0%	12%
SQ	2.1%	1.5%	0.7%	2.2%	-2.0%	-15.4%	-16.9%	17%
GQ	-2.9%	-1.4%	-3.5%	-4.5%	-7.4%	-21.0%	-3.8%	49%

Source: J.P. Morgan Global Quantitative Strategy

The L/S read is more constructive. **ESGQ** retains the strongest since-inception spread in the set and **SQ** posts the best YTD L/S return, helped by the wide sector and stock dispersion that has characterized this market. **EQ** is the standout disappointment, the weakest L/S performer YTD despite its relative strength on the long leg. **GQ** lags on both legs, with the softest three-year L/S print of the group.

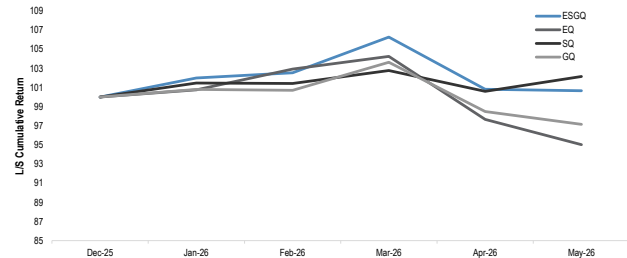
Long-short is working because the short leg is. With over 80 points of stock dispersion in Europe and similar in the US, **ESGQ** and **SQ** are capturing it; **EQ** is not.

Figure 18: Global ESGQ, EQ, SG and GQ YTD Excess Long Performance



Source: J.P. Morgan Global Quantitative Strategy

Figure 19: Global ESGQ, EQ, SG and GQ YTD L/S Performance



Source: J.P. Morgan Global Quantitative Strategy

The headwind and the hedge are the same position. ESGQ's IT underweight is the largest source of long-only tracking error this year, and the largest source of differentiation if AI leadership breaks.

The cumulative curves map cleanly to the regime shift. All four long-only signals rallied into late Q1 as geopolitical risk kept defensive exposures bid, then peaked in February or March and surrendered the gain and more into May once AI and semis led the market higher; **SG** travelled the furthest from peak to trough. The L/S panel tells a different story. **ESGQ** held a steady drift higher through the volatile period and finished May closest to its peak, while **SG** posted the strongest print through a wider arc that gave back most of the March highs as risk appetite returned. **EQ** and **GQ** trended lower throughout. We believe this argues for running ESG factor exposure on a long-short basis, with **ESGQ** as the core strategy and **SG** as a higher-beta complement, while sizing long-only ESG positions to beta tolerance rather than expected alpha. The risk to monitor is continued AI-led leadership, which would keep the long-only headwind in place; the offset is that the same underweight makes **ESGQ** a hedge against an AI re-rating, a property we develop in the sections that follow.

Valuation: Elevated but Supported

If long-only ESG is hard to defend on performance alone, the next question is whether the fundamentals make the case any easier. They make part of it, in our view. The long leg looks expensive against both the short leg and its own history, with fundamentals that justify part but not all of the premium. **ESGQ** longs trade on a higher forward multiple than shorts and the benchmark, with rising EPS revisions and stronger growth, but the gap has widened beyond what earnings alone can explain.

Table 4: ESGQ Fundamentals - Mean

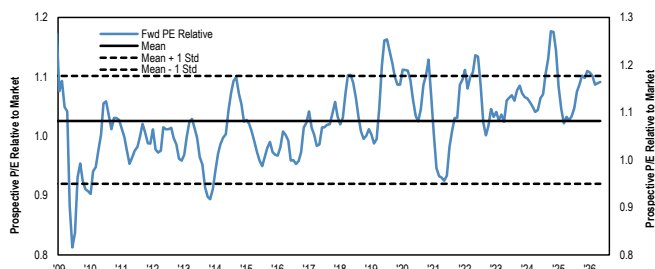
	Fwd P/E	DY	EPS Revs	EPS Revs Change	EPS Growth	RoE	Beta	Size
Long	17.2	2.4	9%	Rising	13.9	62.6	0.8	37,869
Short	14.3	2.0	0%	Falling	17.0	7.3	0.9	41,104
Benchmark	15.8	2.3	13%	Rising	147.9	24.6	0.9	69,497

Source: J.P. Morgan Global Quantitative Strategy

The fundamentals mostly support a higher valuation premium. The exception is EPS Growth.

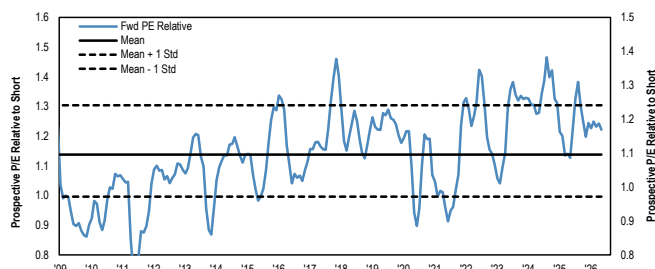
The long leg carries a meaningful quality and growth tilt: higher forward P/E, higher EPS Revisions, higher RoE, and rising EPS revisions against a falling print on the short side. The dividend yield is also higher, and beta sits below the benchmark, consistent with the defensive profile that supported performance into Q1. The short leg shows the inverse, with depressed multiples, no revision support, and beta in line with the index. The fundamentals do their job; the question is the price being paid for them.

Figure 20: Global ESGQ Long vs Market P/E Relative



Source: J.P. Morgan Global Quantitative Strategy

Figure 21: Global ESGQ Long vs Short P/E Relative



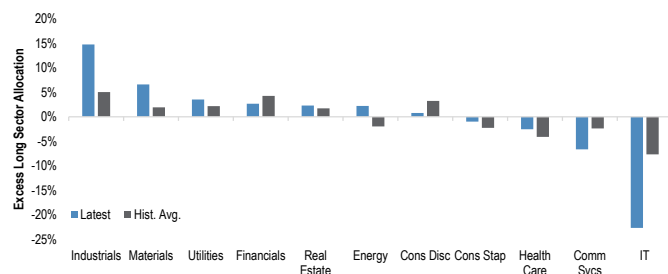
Source: J.P. Morgan Global Quantitative Strategy

Both relative P/E series sit near the upper end of their post-2009 ranges, above the long-run mean and pressing against the +1 standard deviation band. Long versus market has stretched in line with the broader quality and growth re-rating, while long versus short is the more extended of the two and the more relevant for the long-short strategy, where multiple compression on the long leg without an offsetting move on the short leg is the principal mean-reversion risk. We believe this argues for keeping long-short ESG exposure tilted toward **ESGQ** and **SQ**, which carry less directional valuation risk than running long-only outright, and treating any further widening in the long versus short P/E as a signal to trim rather than add.

ESGQ Sector Positioning: An Implicit AI Hedge

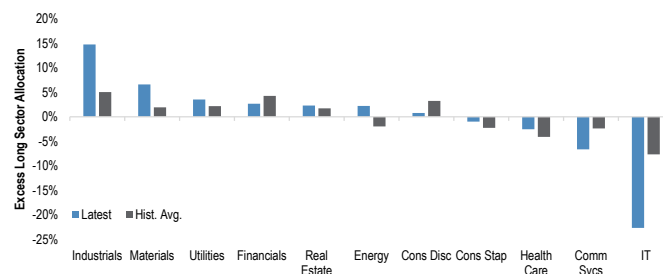
The dominant active call is a deep IT underweight paired with a large Industrials overweight, and the gap between current and historical positioning has rarely been wider. This is what gives **ESGQ** its character as an implicit AI hedge: the strategy is structurally underweight the complex that has led the market, the positioning has extended further from history in 2026 than in some time, and the resulting active risk is the proximate cause of the long-only drag flagged in the performance section.

Figure 22: Global ESGQ Long vs Market Sector Allocation



Source: J.P. Morgan Global Quantitative Strategy

Figure 23: Global ESGQ L/S Sector Allocation



Source: J.P. Morgan Global Quantitative Strategy

Three times the historical IT underweight. That single position is doing more to drive long-only tracking error than any other call in the strategy.

The long-only position is 22.7% underweight IT against a historical average of -7.7%, the largest active call in the strategy and roughly three times its long-run tilt. Industrials runs +14.7%, also close to three times the historical +5.1%, with Materials at +6.6% versus +1.9% and Real Estate and Utilities each carrying small overweights against modest historical positions. Financials sits at +2.7% against a +4.3% average, a rare case of an active weight running below history. The long-short positioning preserves the same direction with smaller magnitudes: IT at -4%, Industrials at +12%, Materials at

The hedge only pays if AI breaks. Until then, the same call that defines **ESGQ** is what costs it on the long side.

Quality tilt remains notably higher than the historical average - both Long and L/S.

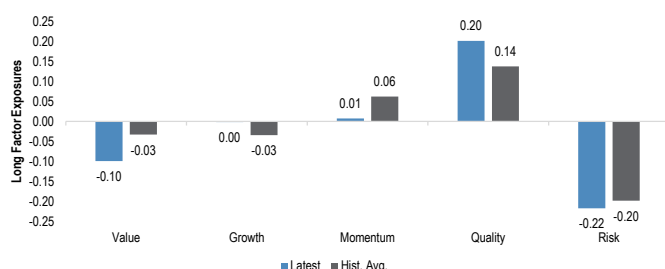
+4%, with Energy and Financials each at +2%. The shape is consistent across the two views; only the size differs.

The implication is that sector positioning, not stock selection, has been the dominant driver of recent long-only underperformance, and the AI hedge characteristic cuts both ways. We believe the IT call needs to be sized deliberately rather than allowed to drift further: at three times its historical magnitude, the underweight is the clearest source of the long-only headwind if AI leadership persists, but it is also what makes **ESGQ** valuable in a drawdown of the AI complex or a broadening of market leadership, the second defensive property we develop in the macro discussion. For allocators with significant AI exposure already in the portfolio, this offers a genuine diversification benefit; for those without it, long-short ESG remains the cleaner expression, with the short leg offsetting part of the directional sector risk that long-only carries outright.

Factor Profile: Defensive Through Selection

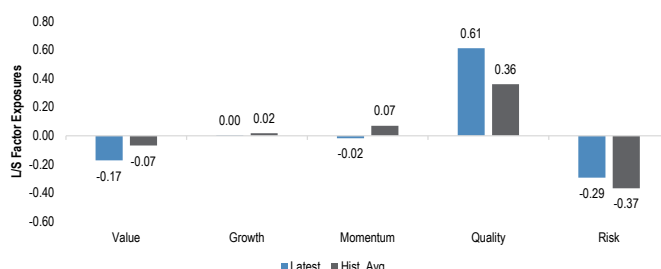
The strategy is running a more pronounced Quality and low-Risk profile than its long-run average, with a Value underweight that has also extended. This is the factor signature of a defensive, AI-hedged strategy, but it is being expressed through stock selection rather than through the sector tilt itself, which is worth flagging because the sector overweights, Industrials, Materials, and Financials, are not natural homes for Quality or low-Risk exposures.

Figure 24: ESGQ Long Factor Exposures



Source: J.P. Morgan Global Quantitative Strategy

Figure 25: ESGQ L/S Factor Exposures



Source: J.P. Morgan Global Quantitative Strategy

Quality is the dominant active exposure on both views, at 0.20 on the long leg against a 0.14 historical average and 0.61 on the long-short against 0.36, the latter close to double its long-run tilt. The low-Risk exposure is the natural pair, at -0.22 long and -0.29 long-short, both deeper than history on the long view and slightly less negative than the -0.37 historical average on the long-short. Value sits at -0.10 long and -0.17 long-short, meaningfully below the long-run average, which is consistent with the IT-underweight, Industrials-overweight sector picture: the strategy is paying up for quality rather than buying it cheap. Growth and Momentum are essentially neutral on both views, with current readings close to zero and modestly below their historical averages.

The factor and sector readings agree on the underweight to the high-multiple growth complex, but the natural counterparts, a Value overweight or a clean Quality short, are both absent. **ESGQ** is long Quality, the same factor the AI leadership cohort scores well on, so the strategy cannot rely on a factor-level short of Quality to express its sector view. What separates **ESGQ** from a strategy that would happily own the Mag 7 alongside its Quality tilt is twofold: the absence of positive Growth and Momentum

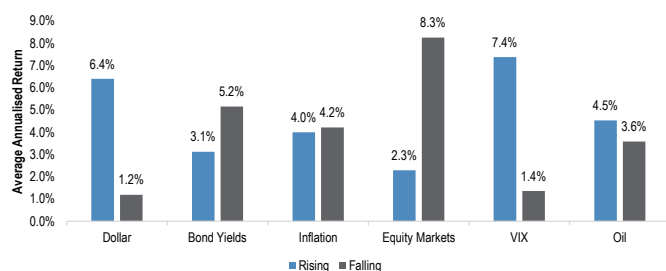
exposures, both of which the leadership cohort carries, and the deep low-Risk exposure, which is the cleanest factor counter to a complex with a large high-risk bias. The defensive character is therefore built from three sources working together: a Quality tilt sourced from within Industrials, Materials, and Financials rather than from mega-cap Tech, a low-Risk exposure that directly offsets the high-risk profile of the leadership, and the absence of the Growth and Momentum exposures that would otherwise pull the strategy toward the same names it is trying to underweight on the IT side. We believe this argues for the same positioning conclusion as the sector section, run the exposure long-short, where the Quality and low-Risk premiums are expressed at close to double the long-only magnitude without the directional Value drag. The principal risks to monitor are a broadening of market leadership that revives Value, and a cyclical drawdown that would test whether stock selection can keep the sector-level beta in check.

Macro Sensitivities: The World Has Changed, Not the Strategy

To assess how **ESGQ** behaves across macro environments, we sort monthly long-short returns into rising and falling regimes for each of six variables: Dollar, Bond Yields, Inflation, Equity Markets, VIX, and Oil. The analysis reports annualized returns within each regime and lets the asymmetry between rising and falling speak to the direction and strength of each sensitivity. In prior outlooks, we ran this over the full sample to establish the strategy's unconditional macro signature. This year we have shortened the window to 60 months. The post-2020 environment has differed materially from the longer history on rates, inflation, and equity leadership, and we believe a regime-relevant lookback is more useful for an investor allocating today than a coefficient stabilized over twenty years. The trade-off is fewer observations and wider error bands, particularly for variables where rising and falling months are unevenly distributed.

Figure 26: ESGQ L/S Macro Sensitivities - Full Sample

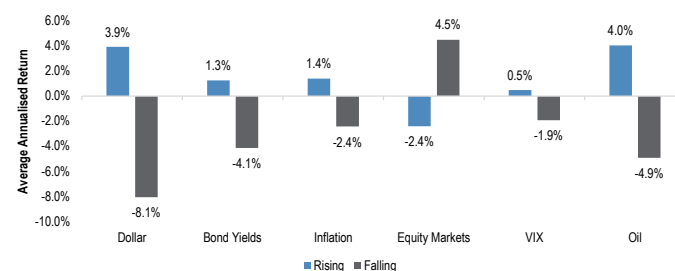
Full Sample - from June 2008 onwards



Source: J.P. Morgan Global Quantitative Strategy

Figure 27: ESGQ L/S Macro Sensitivities - 60M

Last 60M Window



Source: J.P. Morgan Global Quantitative Strategy

Same factor, different world. Three of six macro relationships have flipped or compressed; the equity-market hedge has not.

The two charts side by side make the case directly. Over the long sample, **ESGQ** delivered a textbook defensive profile: positive returns to dollar strength, falling yields, falling equity markets, rising VIX, and broad insensitivity to inflation and oil. In the 60-month window, three of those relationships have flipped or compressed and two have held. Where the sensitivities have shifted, we attribute the change to the macro environment rather than the strategy. The factor and sector exposure sections show **ESGQ** running broadly in line with its historical profile, with the only material extension being a deeper IT underweight. What has changed is what the macro variables now signal, not how the factor responds. The strategy still returns 4.5% annualized in falling equity markets versus -2.4% in rising ones, the largest

asymmetry in the recent table and the result that anchors the hedge case. Alongside this, the IT underweight gives **ESGQ** a second defensive property the macro bars cannot capture: relative outperformance if disappointment around AI capex returns triggers a re-rating of the leadership cohort.

- **Equity Markets (MSCI World):** The strategy delivers 4.5% annualized in falling markets against -2.4% in rising ones, a 6.9 percentage point asymmetry that preserves the property an allocator most needs from a defensive strategy. The full sample showed the same direction at 8.3% versus 2.3%, so the relationship has held in sign and roughly in magnitude. This is the load-bearing result and the one that has held cleanly through the regime shift.
- **Dollar (DXY Index):** The dollar relationship has flipped, with **ESGQ** returning -8.1% in rising-dollar months and 3.9% in falling-dollar months, against +6.4% rising and +1.2% falling over the full sample. We read this as the dollar's signal having changed rather than the strategy's response. In recent years, dollar strength has tracked AI leadership and US risk-on phases that **ESGQ** structurally underweights, while dollar weakness has more often paired with geopolitical stress and policy uncertainty, environments where the defensive tilt earns its keep.
- **Oil (WTI):** Oil has moved from broadly insensitive in the long sample (4.5% rising, 3.6% falling) to a clear pro-cyclical asymmetry in the recent window (4.0% rising, -4.9% falling). Rising oil in this cycle is a geopolitical and supply-driven signal rather than a demand one, and the asymmetry is consistent with the defensive read: **ESGQ** has worked in the same periods where energy prices have spiked on geopolitical stress.
- **Yields (US 10Y):** The full-sample tailwind from falling yields (5.2% versus 3.1%) has reversed in the 60-month window (1.3% rising, -4.1% falling). We would not over-read this. The recent sample is dominated by the 2022 to 2024 rate cycle, where falling-yield episodes were often growth-scare or AI-dispersion events that did not produce the classical low-risk bid, and the result reflects that pairing rather than a structural change in factor behavior.
- **VIX (VIX Index):** The volatility hedge has effectively gone. The full sample showed a 7.4% versus 1.4% asymmetry; the 60-month window shows 0.5% versus -1.9%, too small to underwrite. Recent volatility events have more often been rate-led or dispersion-driven than growth-scare-driven, and quality and low-risk factors have not responded the way they did historically.
- **Inflation (US YoY CPI):** Inflation remains close to neutral, with a mild 1.4% versus -2.4% asymmetry in the recent window against an essentially flat 4.0% versus 4.2% in the full sample. This is one variable where the regime shift has not changed the read.

The VIX hedge is gone, the equity hedge is not. Volatility no longer behaves the way it did, but drawdowns still do, and that is the relationship that pays.

The defensive role is intact and now operates through two distinct channels: the equity-drawdown hedge confirmed by a 6.9 point asymmetry, and the AI-disappointment hedge implied by the IT underweight. Where the macro readings have flipped or compressed, the cause sits with the environment rather than the factor. Dollar weakness and rising oil now signal geopolitical and policy stress rather than cyclical risk-on, falling yields have more often paired with dispersion shocks than growth scares, and volatility regimes have changed character. The strategy's underlying behavior is unchanged, as the steady factor and sector profile confirms. Allocators sizing **ESGQ** should anchor on the equity-market result and the AI underweight, treating the remaining readings as confirmation rather than independent support.

Regulation and policy

EU: still a balancing act

The EU is keeping its Green Deal ambition, but shifting toward more pragmatic delivery. Policy remains focused on decarbonization, electrification, circularity, and nature protection, while easing burdens on firms and households and supporting competitiveness, energy security, and industrial sovereignty. The key shift is a broader mix of “sticks and carrots”: carbon pricing and regulation are being paired with subsidies, state aid, public procurement, targeted protectionism, and infrastructure investment. Simplification efforts are also ongoing on Sustainable Finance & Investing regulations and directives, as exemplified by the current legislative process to reform the Sustainable Finance Disclosure Regulation (SFDR).

Climate Policy: Ambition Maintained, Tools Adjusted

The EU has locked in a legally binding 2040 climate target. In March 2026, the EU amended the European Climate Law to target a 90% GHG reduction by 2040 versus 1990, split between 85% domestic cuts and up to 5% international carbon credits ([here](#)). The target is designed to align climate ambition with competitiveness, industrial policy, and energy affordability.

The ETS remains central, despite political pressure. ETS2, covering buildings and transport, has been delayed to 2028 and adjusted to reduce household inflation risks. ETS1 has faced criticism from heavy industry and some Member States, but major weakening has not materialized so far. The Commission’s €30bn industrial decarbonization “investment booster,” meant to be funded by selling 400 million allowances, was read as a reassuring carbon-price anchor around €75/t (see J.P. Morgan’s comment [here](#)). A broader ETS reform is expected in July 2026.

CBAM has entered its compliance phase, with implementation details still being finalized. The mechanism began compliance in January 2026 after its transition period. Smaller importers below 50 tonnes are excluded, and the first certificate surrender deadline is September 30, 2027 for 2026 embedded emissions. Free allowances for covered sectors will decline gradually.

Climate adaptation is rising on the EU agenda. Annual climate-related economic damage is about €45bn, while only around 25% of losses are insured. A new Climate Resilience and Risk Management framework is expected in late 2026, likely including a common 3°C reference scenario, harmonized risk assessments, and a focus on finance and insurance gaps.

Industrial Policy, Trade, and Energy: Decarbonization Reframed Around Competitiveness

Climate policy is increasingly being integrated with industrial policy. The EU is balancing carbon pricing with subsidies, state aid, procurement, and de-risking tools that aim to lower the relative cost of clean technologies while protecting domestic industrial capacity.

The Industrial Accelerator Act aims to rebuild EU manufacturing. Proposed in March 2026, it targets manufacturing at 20% of EU GDP by 2035, up from 14.3% in

2024. It would streamline permitting, create lead markets for strategic products, use public procurement and support schemes to foster “Made in EU” goods, regulate foreign investment, and designate industrial acceleration areas. (see J.P. Morgan’s analysis [here](#)),

The EU is becoming more willing to use targeted protectionism. Steel measures include halving tariff-free import quotas and doubling out-of-quota tariffs to 50% from July 2026. Similar logic appears in duties on Chinese EVs, restrictions linked to Chinese solar inverters, and “Made in EU” and low-carbon procurement requirements across strategic sectors as per the IAA.

Energy security has accelerated electrification and grid policy. The Middle East energy shock has pushed the EU to speed up existing plans through AccelerateEU, combining short-term support for households and industry with longer-term electrification and grid investment. (See J.P. Morgan’s analysis [here](#)). State aid flexibility is central, though fiscal differences among Member States will shape delivery.

Electrification and grids are the main implementation tests. The EU wants electricity’s share of final energy consumption to rise from 23% in 2024 to 32% by 2030. Transport offers the largest near-term potential, buildings face renovation and heat-pump cost barriers, and industrial electrification depends on affordable inputs such as green hydrogen. Grid investment needs are estimated at €584bn by 2030.

Circular Economy and Critical Materials: Resource Security Becomes Strategic
The Circular Economy Act will be a key 2026 milestone. [Expected](#) in Q3 2026, it will aim to create a single market for secondary raw materials, improve recycled material supply, stimulate demand, and support the EU goal of becoming a circular economy leader by 2030.

The EU aims to double the rate of circularity by 2030. The expected target is to raise the circularity rate from 12% to 24%, linking waste reduction and recycling to competitiveness and supply security.

Critical raw materials are now central to sovereignty. The [RESourceEU Action Plan](#) seeks to secure rare earths, cobalt, lithium, and other strategic inputs through a Critical Raw Materials Centre, joint purchasing, stockpiling, crisis coordination, and strategic projects. The EU aims to cut dependencies by up to 50% by 2029 and mobilize up to €3bn in 2026.

PFAS regulation is moving toward wider restrictions. [ECHA opinions](#) under REACH are expected in 2026 and will shape the Commission’s proposal. Companies face compliance risks, but firms developing PFAS-free alternatives may benefit.

Biodiversity and Nature: Simplification and Market Tools

The EU is simplifying biodiversity rules while keeping the core objectives. The [revised EU Deforestation Regulation](#) has been simplified through updated guidance, FAQs, scope changes, and system updates intended to cut compliance costs by about 75%.

EUDR implementation has been delayed and clarified. It will apply from December 30, 2026 for large and medium firms and June 30, 2027 for small and micro firms, with

scope changes including soluble coffee added and leather excluded. (EC's review of the simplified EUDR [here](#))

Nature legislation is under review for competitiveness. The Birds and Habitats Directives were opened for public [consultation](#) in May 2026, following the Water Framework Directive in April, as part of a broader deregulation and competitiveness agenda.

The Nature Credit Roadmap points to biodiversity finance. The Commission is [developing](#) standards and certification for nature-positive actions to make biodiversity credits more reliable, effective, and credible.

SFDR 2.0 : A Reshuffled European Sustainable Investing Market?

The European Commission published its SFDR 2.0 legislative proposal on Nov 20, 2025, positioning it as a clarification and simplification of the existing regime, with an estimated ~25% compliance cost reduction (our view and details here: [SFDR 2: Transition or Revolution?](#)). The core change was a move away from a disclosure-led approach towards a product categorisation framework with minimum characteristics, aiming to improve clarity, reduce greenwashing risk, and align more closely with other EU frameworks (e.g., Benchmark rules, Taxonomy, fund naming rules).

The proposal introduces three categories: ESG Basics (Article 8), Transition (Article 7), and Sustainable (Article 9), with a common 70% investment threshold and mandatory exclusions (e.g., coal, tobacco, UN Global Compact violators, controversial weapons), while Transition/Sustainable add forward-looking fossil fuel-related exclusions. It also formalised the treatment of impact objectives for Articles 7 and 9 (but not Article 8) and explicitly stated that defence can be compatible with the framework if sustainability standards are met.

The Commission suggested limited disruption, we believe that SFDR 2 could lead to yet another regulatory driven overhaul of the market, and we estimate that at least ~24% of European equity assets might remain in “sustainable products” under the new regime. The proposal also includes a Taxonomy “safe harbour” concept: products with ≥15% taxonomy-aligned investments could be deemed to meet the main threshold for Transition/Sustainable classification, potentially increasing demand for Taxonomy reporting (even as mandatory taxonomy-alignment disclosures for SFDR products would fall away).

Parliament rapporteur draft: largely keeps the architecture but tightens investor-facing rules: On May 4, 2026, the EU Parliament rapporteur Gerben-Jan Gerbendy published a [draft](#) parliamentary position on SFDR 2.0 that broadly preserves the Commission's direction of travel while tightening several calibration points. We view the Parliament's draft as an incremental step in the SFDR reform process rather than a definitive resolution. (Our View and details here: [SFDR 2.0: Key Takeaways from the EU Parliament Rapporteur's Draft and What it Means for Investors](#))

Key proposed amendments: mandatory PAI, higher thresholds, fewer “automatic” safe harbours, longer transition: The rapporteur draft proposes several material changes versus the Commission text: (i) making product-level Principal Adverse Impact (PAI) disclosures mandatory across all three categories, including a new PAI requirement for ESG Basics; (ii) tightening ESG Basics by requiring at least a 20%

exclusion floor (i.e. removing the lowest-rated/lowest-indicator part of the universe before the outperformance test); (iii) raising the Taxonomy alignment safe harbour from 15% to 20% for Articles 7 and 9; (iv) removing the automatic “deeming” safe harbours for CTB/PAB benchmark-tracking funds; (v) introducing a prominent disclaimer requirement for non-categorised products; and (vi) extending the main implementation period from 18 to 24 months, while accelerating certain provisions (e.g., removal of entity-level PAI and remuneration disclosures) to apply at entry into force. The draft also introduces a comply-or-explain engagement strategy disclosure, adds a consistency requirement for general-purpose public sector debt held outside the 70% threshold, and highlights potential future regulation/standards for third-party sustainability data products and estimates used under SFDR.

Investor response and further legislative steps: Initial investor reaction was mixed: participants broadly welcomed the longer timeline, retention of the category architecture, and acknowledgment of third-party data challenges, but flagged unresolved issues. Key pressure points include treatment of general-purpose sovereign bonds (still excluded from the 70% threshold, raising challenges for large asset owners), lack of professional-investor carve-outs, unresolved naming/marketing interactions, and the risk that tighter ESG Basics rules could drive significant reclassification of existing Article 8 funds.

Parliament’s ECON vote scheduled, key amendments and debating points emerge : The stage has been set for debate in the European Parliament over the future of the SFDR, with the deadline having passed on June 4th for MEPs to file amendments to the rapporteur’s proposed reforms. The ECON committee is scheduled to vote on the SFDR 2.0 file on July 15, after which the text will be subject to plenary discussions involving all MEPs to decide the Parliament’s final position by the end of September 2026.

Look before you leap: Our main message to PMs & Product Specialists is: “Look before you leap”—or, to use a French expression, « Il est urgent d’attendre » (“It is urgent to wait”). At this stage, we are still far from a clear view of what the final SFDR 2.0 will look like. As a result, portfolio managers and product specialists should be cautious about amending existing processes or products. For policy and engagement experts within financial market participants, however, SFDR 2.0 is already a timely and important discussion: in our view an agreement between co-legislators could be found by the end of this year, paving the way for the subsequent formal adoption of the revised regulation. Once adopted by all, the changes will be effective after a 24 month implementation period (provided that this suggestion from the rapporteur is kept), i.e. in 2029 at the earliest.

UK: pragmatic decarbonization

The UK continues to tighten its net zero pathway, pairing the proposed Seventh Carbon Budget with measures to scale clean power—via renewables, electricity market reforms, and ongoing commitments to nuclear. In parallel, recent sustainable finance updates signal a pragmatic approach focused on ISSB alignment while limiting incremental reporting burdens for companies.

Energy & Climate Policy Update

Seventh Carbon Budget tightens the path to Net Zero: On 2 June 2026, the government [published](#) its proposed Seventh Carbon Budget, setting a target of approximately 87% emissions reduction over the period 2038 to 2042 compared to 1990

levels. The government cited an independent report from the Energy and Climate Intelligence Unit, supported by analysis from Confederation of British Industries (CBI) Economics, indicating that the net zero economy supported over 1mn jobs in the UK and contributed £105bn in gross value added (GVA) to the UK economy in 2025. The announcement projects that by 2050, the UK could reduce its reliance on fossil fuels from approximately three-quarters of current energy supply to around 15%, while avoiding an estimated £445bn in fossil fuel expenditure over the next 25 years. MPs have until [30 June](#) 2026 to adopt the text.

Energy Independence Bill: Accelerating further domestic renewables. The [King's Speech](#) on 13 May 2026 placed energy security at the centre of the UK Government's legislative agenda and announced the [Energy Independence Bill](#), which aims to expand domestic renewables and enhance energy security amid global instability, marking a shift towards clean power.

Electricity Market Reforms

The UK has enacted a set of energy market interventions to decouple gas and electricity prices, aiming to limit the impact of international commodity shocks on electricity bills given the UK's exposure to LNG markets for gas supply (for more detail, see the European Utilities & Clean Energy team's [note](#)). There are three main actions that have taken place:

- **Offering legacy ROC contracts to move to CfDs:** Generators with legacy Renewables Obligation Contracts (ROCs) receive subsidies added to consumer bills, supporting various renewable technologies; although the scheme ended in 2017, many contracts remain active until 2037. The proposal is to offer these generators a voluntary switch to fixed-price Contracts for Difference (CfDs), which would reduce market risk and could offset near-term revenue losses by providing stability and mitigating exposure to declining wholesale power prices expected in the 2030s, making the transition NPV-neutral or positive for the companies.
- **The increase in the EGL rate:** The electricity generator levy (EGL) was raised from 45% to 55% on revenues above £83/MWh, impacting inframarginal generators with merchant exposure, including those on ROC contracts. While this increases taxes in 2026, wholesale prices remain higher than pre-war levels, making CfDs, which are untaxed by EGL, more attractive.
- **Removal of the legacy CPS:** The Carbon Price Support (CPS), a £18/t carbon tax introduced in 2013 to supplement the UK ETS and phase out coal generation, will be removed in April 2028.

The team expects overall UK power prices to decrease, with the expected removal of CPS lowering emissions costs. However, alignment with the EU ETS could offset some of this decrease, leading to a smaller reduction in power prices. EU climate commissioner W. Hoekstra expressed optimism about reaching an agreement to link the EU ETS with the UK ETS, though no target completion date has been set.

Nuclear Energy Update: Sizewell C [has progressed](#) from financial close into early construction, with construction cost [estimates](#) of approximately £38bn and a target completion/commissioning date of summer 2039. In parallel, the broader UK nuclear landscape over the same period included [material progress](#) in Small Modular Reactors (SMRs), including the June 2025 selection of Rolls-Royce SMR as preferred technology partner via a Great British Energy-Nuclear (GBE-N) process, [confirmation](#) of Wylfa

(North Wales) in November 2025 for the first three units, and a [delivery contract](#) signed in April 2026 supported by £2.6bn of allocated government funding plus a National Wealth Fund commitment of up to £599m.

Sustainable Finance

We summarize below the main developments in the UK sustainable investing market over recent months:

- **UK Sustainability Reporting Standards: Converging with ISSB.** Following the June 2025 [consultation](#), the UK government in February 2026 [published](#) its formal response and the final UK SRS S1 (General Requirements for Disclosure of Sustainability-related Financial Information) and UK SRS 2 (Climate-related disclosures), aligned with the ISSB's S1 and S2. While reporting is currently voluntary, the FCA [consulted](#) earlier this year on making it mandatory for listed companies, with final rules expected in Autumn 2026. The new requirements would apply to financial years beginning on or after 1 January 2027, with first reports due in 2028, replacing the current TCFD-aligned disclosure framework. Earlier this month, the FCA also [proposed](#) to simplify fund-level TCFD disclosures, which it expects will save asset managers £20 million annually.
- **Scope 3 emissions: “Comply or Explain” becomes the default:** The final UK SRS 2 makes Scope 3 emissions disclosures optional, with a “comply or explain” approach: companies must either disclose Scope 3 emissions or explain why they have not, including the steps and timelines for future disclosure. The FCA or Companies Act could later make Scope 3 reporting mandatory. Investors [raised](#) concerns that this approach may impair comparability.
- **ESG ratings in the FCA perimeter (rules due Q4 2026):** At the end of 2025, the FCA [consulted](#) on its rules for ESG ratings providers, including specific rules on conflicts of interest. The FCA also [launched](#) a voluntary reporting pilot for ESG ratings providers, which will help assess whether proposed metrics for ESG ratings reporting are clear, feasible, proportionate, and useful for supervisory purposes. Final rules are expected to be published by Q4 2026 and to enter into force by June 2028.
- **Stewardship Code refresh:** The UK's updated [Stewardship Code](#) came into effect in [January 2026](#). The Code is not binding and applies only to investors who choose to become signatories ([as of January 2026](#), 291 asset managers, asset owners, and service providers representing £57.3 trillion AUM were signatories). UK policymakers have [used](#) the Code as a tool to encourage institutional shareholders to engage with companies, generally with a focus on long-term value creation rather than short-term profit maximization.
- **SDR labelling:** Earlier this year, the FCA published [examples](#) of good and poor practice for funds under its Sustainability Disclosure Requirements labeling regime, notably highlighting the need for clear, consistent, and plain-language disclosures.
- **Transition Finance Guidelines:** The UK Transition Finance Council (TFC) [consulted](#) in 2025 on a set of principles and factors for financial institutions to assess the eligibility of entities to transition finance. In November 2025, the TFC [released](#) a second version of its guidelines, clarifying that a credible transition needs to be compatible with the goal of the Paris Agreement, with 1.5 alignment preferred but not required. In March 2026, the Transition Finance Council published additional guidance ([here](#)), to help investors and lenders to “*assess the credibility of a real economy entity's transition ambition, planning and investment*”, including whether they are “*anchored to the Paris Agreement average temperature goal*”.

US: noise and reality

US renewable policy became more clear during the summer of 2025 with the passage of the One Big Beautiful Bill Act (OBBBA) and subsequent safe harbor update, though there are still some pending decisions that could create disruption in the space.

The OBBBA was supportive of baseload power sources, with unchanged or extended tax credits for geothermal, energy storage, nuclear and fuel cells. The expiry date for solar and wind tax credits for project owners (48E and 45Y, respectively) was pulled forward to YE27, though safe harbor rules allow owners to lock-in tax credits thru YE30 if certain conditions are met (see [note](#)). Developers have until July 4, 2026 to safe harbor tax credits thru YE30. 45X manufacturing tax credits were left unchanged, with the exception of wind components.

Importantly, the OBBBA for the first time included restrictions on foreign entities of concern (FEOC) ability to qualify for renewable tax credits, which went into effect on January 1, 2026. Certain FEOC provisions were clearly defined in the OBBBA (e.g. entity can have no more than 25% equity owned by a FEOC), while others such as “material assistance” from FEOC are still to be provided in pending guidelines from the government. We believe FEOC is likely the most disruptive to BESS given Chinese supply of LFP batteries. We note that the absence of clearly defined FEOC guidelines has led to some project delays as some tax equity providers await final policy clarity before committing funding.

Several potential policy/geopolitical headwinds remain. 1) The Department of Commerce’s Section 232 investigation into US imports of polysilicon could increase costs for solar, a potential tailwind for U.S.-based FSLR, though a potential headwind for the remainder of the industry. 2) The Department of the Interior notified staff in mid-2025 that all solar and wind projects that touch federal land must receive the Interior Secretary’s sign-off to receive a permit. While industry checks suggest that there has been no/little impact to most project activity, we believe there could still be potential project-specific risks. 3) There could be a prolonged legal battle regarding the legality of President Biden’s two year AD/CVD moratorium between June 2022-June 2024. Within our coverage, we believe CSIQ faces the most potential risk in this regard. 4) As discussed above, initial FEOC guidelines are expected to be issued soon. Stricter than expected guidelines could be a positive for FSLR though a potential risk to the overall industry.

On policy, the past months have seen a revoking of the EPA’s 2009 “[endangerment finding](#)” that greenhouse gases threaten public health and welfare, undermining the legal basis for federal regulation of GHG emissions ([link](#)). This has been coupled with broad regulatory rollbacks, including plans or actions to abolish greenhouse gas standards for cars and trucks ([link](#)), weaken fuel-economy and tailpipe rules ([link](#)), loosen pollution controls on fossil-fuel power plants ([link](#)), and narrow Clean Water Act protections ([link](#)). At the same time, the Administration has proposed deep cuts to NOAA, NASA, and other research programs for 2027 ([link](#)), although it is unclear whether they will materialise: 2026 saw similar proposals but they were broadly rejected by Congress.

Latin America: focus on the environmental pillar

Brazil: ongoing momentum on environmental policy, u-turn on disclosure requirements

Social policy - workweek reduction: the main ongoing discussion on the social policy front is the reduction of the workweek from 44 hours to 40 hours, through a constitutional amendment (“PEC 6x1”, Pec 221/2019). If approved, the implementation should take 14 months, which is much faster than other LatAm countries like Chile (5 years), Mexico (5 years) and Colombia (4 years). According to the bill’s rapporteur, the new workweek would impact roughly one-third of formal employees (“CLT”), with some exemptions (e.g. high-earner individuals). Industry players have raised concerns about a potential 20% increase in costs for labor-intensive activities, such as logistics and hospitality.

Energy storage regulation: the Energy Ministry will hold two regulated auctions for energy storage (BESS) in December, one limited to local-content equipment and another open to global suppliers. The auction size and economic terms should be disclosed in 3Q26. Separately, power regulator Aneel has defined how transmission costs will be charged for energy storage systems, which was seen as one of the main regulatory risks to the segment.

SBCE Moves from Law to Execution: In 2026, Brazil’s SBCE shifted from a 2024 legal framework into concrete rulemaking, with the Ministry of Finance presenting a preliminary proposal to define which sectors will fall under mandatory emissions reporting, as part of a phased implementation of the regulated carbon market. The plan starts in 2027 (phase 1) with pulp & paper, iron & steel, cement, primary aluminum, fertilizers, oil & gas production and refining, and air transport. It will expand in 2029 (phase 2) to mining, recycled aluminum, power, glass, food beverages, chemicals, ceramics, and waste. Finally, road, waterway, and rail transport will be included from 2031 (phase 3). Each phase runs over four years (monitoring plan → effective monitoring → national allocation plan), and the transition period is built around reporting and plans—not mandatory emissions reductions. The proposal also signals how compliance will work in practice: MRV is the core building block, companies above 10k tCO₂/year would be required to report, and those above 25k tCO₂/year could later face emissions limits, with the option to buy carbon credits to offset part of the obligation.

Eco Invest Brazil gains momentum: In late May 2026, Eco Invest Brasil meaningfully increased green funding availability by unlocking R\$13.2bn in its 4th auction for bioeconomy, sustainable tourism, and infrastructure projects—about R\$9bn allocated to the Legal Amazon—and the Treasury then announced a 5th auction focused on six strategic technology-innovation value chains. Eco Invest is a central instrument in the government’s ecological transformation agenda, designed to crowd in private capital and lower financing costs for transition-aligned projects. By the end of 2025 the program had mobilized more than R\$75bn, according to the Finance Ministry. The immediate equity takeaway is pipeline creation: more supported projects across sustainable infrastructure, bioeconomy, innovation, PE/VC, and “green” industrial chains, with 2026 expected to scale further into green fertilizers, critical minerals, batteries, sustainable fuels, green chemicals, applied AI, and circular economy.

Rural Credit Gets Environmental Screening: In April 2026, Brazil put in place a rule that ties access to subsidized rural credit to environmental compliance by requiring

banks to use official satellite tools to check whether borrowers have had any deforestation since 2019; if there is a flag, the producer must prove legal authorization to qualify. The policy is market-relevant because it turns land-use and deforestation risk into a hard underwriting gate for roughly US\$53bn of subsidized rural credit and can spill over into up to US\$114bn of private credit to agribusiness. The immediate effect was institutional and political: banks were forced into a more active environmental “filter” role, while agribusiness pushed back on perceived satellite-error risk and added bureaucracy. In May 2026, implementation deadlines were delayed: large properties (above 15 fiscal modules) were shifted to January 2027, mid-sized (4–15) to July 2027, and small properties to January 2028—reducing near-term pressure but not the structural direction.

CVM Softens Sustainability Disclosure — IFRS S1/S2 Move Further Toward Voluntary Adoption: In late May 2026, Brazil’s securities regulator (CVM) amended Resolution CVM 193 and removed the mandatory requirement to disclose sustainability-related financial information, effectively giving issuers more flexibility to adopt the CBPS/ISSB standards on a voluntary basis. The immediate effect is a lower near-term compliance burden, especially for smaller issuers, but it also reduces comparability across the market and with other jurisdictions and can widen the disclosure gap between leaders and laggards.

Chile’s Reconstruction Bill: Implications for Environmental Approval Procedures
The National Reconstruction and Economic and Social Development Bill (Bulletin 18216-05), promoted by the Executive Branch, seeks to reactivate the economy, attract investment, and streamline permitting processes, including environmental approval procedures, through significant changes to the General Environmental Framework Law and Chile’s Environmental Impact Assessment System (SEIA). Among its main proposals, it provides that modifications, technological upgrades, or process optimizations to projects already approved with a favorable Environmental Qualification Resolution (RCA) would be exempt from re-entering the SEIA provided they do not generate significant environmental impacts; it removes the automatic requirement for SEIA review for the relocation of aquaculture concessions (with exceptions for certain cartographic adjustments); it narrows the assessment of “cumulative environmental impacts” exclusively to projects already in operation, excluding future initiatives as well as those approved or under construction; it sharply reduces the administrative invalidation period for sectoral and environmental authorizations from two years to six months; and it reinstates the Committee of Ministers as the deciding and appeals body for Environmental Impact Studies.

Colombia pushes for critical minerals governance

Colombia’s UNEA-7 initiative on critical minerals (Nairobi, Dec 2025) aimed to pull critical-minerals governance into a global ESG framework and position the country as an agenda-setter on supply-chain standards. The push was underpinned by two drivers: (i) acute domestic concerns over environmental harm tied to illegal mining, and (ii) a strategic read-through to rising global demand for transition-linked inputs (copper, lithium, cobalt, nickel). In terms of structure, Colombia initially sought a legally binding global treaty featuring mandatory sustainability standards and end-to-end traceability across the minerals value chain; the negotiated outcome was meaningfully softer—a nonbinding UNEA-7 resolution centered on enhanced international dialogue/cooperation, resource recovery from waste/tailings, and environmentally sound management of key minerals, with no binding treaty or

mandatory traceability mechanism.

Despite dilution, we see the resolution as directionally important for policy and compliance pathways. First, it creates a “sticky” foothold in the UN process—critical-minerals governance is now embedded in the UNEA agenda and likely to recur (including at UNEA-8), which can catalyze subsequent national rulemaking in producer jurisdictions. Second, it reinforces an ESG-forward framing for extractives in Colombia, signaling potentially tighter expectations around concessions, permitting, and operating standards. Third, traceability is increasingly converging toward a tangible cost center even without a UN treaty, as major end-markets tighten due-diligence and import-related requirements—raising the bar for compliance infrastructure for operators exposed to Colombia/Andean supply chains. Finally, the explicit linkage to illegal mining highlights an enduring regional overhang: reputational and compliance narratives can spill from illicit activity into the formal sector, making credible traceability (if it hardens over time) a potential differentiator.

Asia: ongoing governance tsunami and energy security prioritization

China

The 15th Five-Year Plan was finalized and approved in China on March 12th. Notably, energy security features as a core pillar, and energy was treated as strategic infrastructure, with the scaling of new energy part of the agenda for China's modern industrial strategy. Three numerical anchors frame the opportunity set:

1. Non-fossil energy (wind, solar, hydro and nuclear) reaching 25% of total consumption by 2030;
2. Domestic energy production capacity growing to 5.8 billion tonnes of coal equivalent by 2030 from 5.13 billion tce in 2025, implying roughly 2.5% CAGR; and
3. Grid capex potentially exceeding Rmb 5 trillion over the plan period, with annual ultra-high-voltage spending alone surpassing Rmb 100 billion, according to our analyst's channel checks ([link](#)). Grid upgrades are framed as a "new-type power system," with expanded flexibility through new-type storage and smarter dispatch and markets.

Taken together, these targets industrialize energy security into a sustained, multi-year systems-upgrade cycle rather than a one-off stimulus. Notably, the goals also pair with the country's carbon peaking timeline a broader push to accelerate a comprehensive green transition and build a "Beautiful China".

Elsewhere, there has been growing momentum in China on corporate governance. Last year, the State Council released guidelines to improve modern corporate governance "with Chinese features". The project explicitly mentions a 5-year time period for the establishment of the system and a 2035 target date for a "more refined, modern corporate system with distinctive Chinese features, which would significantly boost the global competitiveness of Chinese enterprises" ([link](#)). Following the announcement, the Asset Management Association of China (AMAC) released a set of rules ([link](#) - available in Chinese only) that can be interpreted as establishing the first Stewardship Code for the A-share market. The new framework is a mix of voluntary and mandatory obligations and mostly increases pressure on asset managers to vote (those with >5% of a company's free float shares have an obligation to vote on 13 types of resolutions) and disclose how they vote, but is less focused on engagement.

These efforts have laid the groundwork for a renaissance of corporate governance in China. However, the move from regulation to implementation needs to be monitored going forward. International investors should also be aware of the nuances in the context of these developments in corporate governance, namely the "distinctive Chinese features" mentioned by the State Council ([link](#)). These include features that reference Party leadership and also the principles within the AMAC rules relating to alignment with national strategies. However, the emphasis on protection of minority shareholders, corporate governance, ESG responsibilities and information disclosure are still in line with the spirit of corporate governance standards elsewhere.

South Korea

The Financial Services Commission released a draft roadmap at the end of February this year that lays the groundwork for the implementation of mandatory sustainability

disclosures. The roadmap was released alongside finalized Sustainability Reporting Standards, which broadly align with ISSB, although timelines for scope 3 reporting are notably longer and reporting on non-climate related issues will remain optional, with third-party assurance also considered optional. Under the proposal, companies listed on the KOSPI Index with assets greater than KRW 30trn (~US\$20bn) will be required to begin sustainability reporting in 2028 (based on 2027 data). Eventually, reporting requirements will be expanded to companies with more than KRW 10trn (~US\$7bn) in assets.

Outside of ESG reporting, the integration of ESG and in particular corporate governance principles has been a hot topic in Korea this year. The ruling Democratic Party has already made several amendments (e.g. the mandatory cancellation of treasury shares and clarification on the fiduciary duty of company directors) to the Commercial Act since last summer in an effort to overhaul Korea's corporate governance practices. Attention has similarly turned to the Stewardship Code (first introduced in Korea in 2016), the strengthening of which was identified as a key task for the K-Capital Markets Committee earlier this year. Efforts have similarly been made to require financial authorities to inspect and evaluate asset managers' stewardship activities, including the submission of an annual report on their Stewardship Code implementation to the FSC.

Multiple bills pertaining to the implementation of ESG in the investment process have also been proposed in relation to the National Pension Act. These include those suggesting provisions requiring the National Pension Service (NPS), the country's largest asset owner, to reflect the level of Stewardship Code implementation when selecting asset managers, and making the consideration of ESG factors mandatory in the investment process. However, this latter bill, focused on making ESG a mandatory consideration, [failed](#) to clear the Health and Welfare Committee due to opposition.

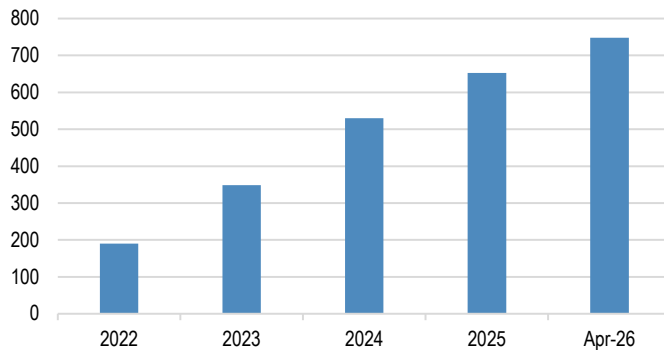
Elsewhere in Asia

The ESG ETF market in **Taiwan** has notably enjoyed steady growth in recent years, representing a bright spot for AUM growth (reaching US\$24bn as of April this year according to TWSE) and bearing the fruits of previous efforts by the Taiwan Stock Exchange to introduce ESG reporting.

Elsewhere on ESG topics, it is worth highlighting that, just as Taiwan completed the phase out of nuclear power last year, shutting down its last reactor in May 2025, it is now looking to restart its nuclear agenda. In March this year, Taipower applied to restart the Maanshan and Kuosheng plants ([link](#)) as Taiwan grapples with the energy volatility introduced by the Middle East conflict. Note that Taiwan imports 98% of its energy, which is vital to maintaining the economy, which has at the same time boomed in terms of tech-related exports. The development of nuclear policy in Taiwan is a theme to watch for this year.

Figure 28: Taiwan's listed ESG ETF market has demonstrated steady growth in recent years

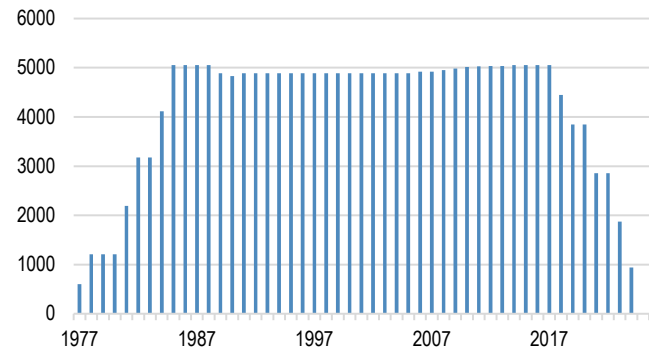
ESG ETF AUM (NTD bn)



Source: TWSE.

Figure 29: Taiwan is in the midst of reconsidering its nuclear future

Taiwan operable nuclear power capacity: Reference Unit Power (MWe)



Source: World Nuclear Association.

In **Hong Kong** The Accounting and Financial Reporting Council has proposed that all companies that are required to make sustainability disclosure obtain limited assurance for Scope 1 and 2 emissions from the third year of reporting. Large listed companies begin reporting against ISSB-aligned standards this year (based on 2025 information).

Emissions trading entered the mandatory phase in **Japan** on the 1st of April this year. The GX-ETS is now in its second phase following a three-year voluntary period, and will run from FY2026-2032. The mandatory system operates on a baseline-and-credit system with an absolute cap, and applies to companies with average annual direct CO₂ emissions of at least 100,000 tonnes over FY2023–2025, corresponding to approximately 300–400 entities. For the FY2027 period, lower and upper limits on prices for a metric ton of CO₂ equivalent are set at JPY 1,700 - 4,300 (US\$ 11.36 - 28.73).

On the subject of corporate governance in Japan, the FSA and Tokyo Stock Exchange released draft versions of the Corporate Governance Code in April ([link](#)). The new code sharpens expectations on value creation at listed companies with a focus on “growth-orientated governance” and how balance sheet resources are deployed, with an emphasis on managing cash resources. The proposed Code suggests a move away from box-ticking towards the articulation of how retained capital supports a coherent growth strategy. Other changes suggested in the new Code include the enhancement of the Board, including increasing the ratio of independent directors, and a statement of best practice in terms of the disclosure of annual securities reports before general shareholder meetings. Companies are expected to make disclosures of items prescribed in the new Code by July 2027 at the latest.

Malaysia published the country’s first National Carbon Market Policy this year, which reinforces domestic climate targets. However, the implementation of an anticipated carbon tax to be applied to hard-to-abate sectors has been put on hold due to current geopolitical circumstances and an unwillingness to place “any extra burden” on industry at this time, according to the Minister for Environmental Sustainability and Natural Resources ([link](#)).

Investable themes in equities

Global: batteries, grids, and adaptation to climate change

Power me up, Scotty! Alpha generation in the battery revolution

Three reasons underpin our positive stance on batteries: (1) thanks to innovation, ESS is turning intermittent renewables into baseload at increasingly competitive prices; (2) double-digit growth expectations in ESS additions driven by electrification, data centres and AI; and (3) batteries are an enabling technology for the three single-largest decarbonization levers: solar, wind and EVs. We discuss the opportunity in our deep dive [battery thematic report](#), and summarise the OW-rated ideas below.

Table 5: “Power me up”: OW-rated ideas in the Battery value chain

Name	Ticker	Country	Sector	Electrification solution	Mkt cap (\$mn)	Analyst	Upside
LG Energy Solution	373220 KS	South Korea	Electrical Components & Equipment	Battery producer and equipment	63,500	Parsley Ong	29
Simplo Technology Co Ltd	6121 TT	Taiwan, China	Electronic Components	Battery producer and equipment	2,468	William Yang	0
CATL - A	300750 CH	China	Electrical Components & Equipment	Battery producer and equipment	263,229	Rebecca Wen	29
Samsung SDI	006400 KS	South Korea	Electronic Components	Battery producer and equipment	29,852	Sonny Lee	40
Wuxi Lead - A	300450 CH	China	Industrial Machinery & Supplies & Components	Battery producer and equipment	11,318	Rebecca Wen	26
LG Chem Ltd	051910 KS	South Korea	Commodity Chemicals	Battery producer and equipment	19,071	Parsley Ong	25
TDK (6762)	6762 JP	Japan	Electronic Components	Battery producer and equipment	44,997	Akinori Kanemoto	45
CALB	3931 HK	China	Automotive Parts & Equipment	Battery producer and equipment	2,648	Rebecca Wen	47
Sungrow - A	300274 CH	China	Electrical Components & Equipment	Battery producer and equipment	46,783	Alan Hon	39
L&F	066970 KS	South Korea	Electrical Components & Equipment	Battery Materials	3,407	Sonny Lee	104
Umicore	UMI BB	Belgium	Specialty Chemicals	Battery Materials	6,854	Chetan Udeshi, CFA	8
Putailai	603659 CH	China	Specialty Chemicals	Battery Materials	9,387	Rebecca Wen	42
Vale Indonesia	INCO IJ	Indonesia	Diversified Metals & Mining	Raw Materials	2,823	Benny Kurniawan, CFA	77
PLS Group	PLS AU	Australia	Diversified Metals & Mining	Raw Materials	13,169	Lyndon Fagan	21
Merdeka Copper Gold	MDKA IJ	Indonesia	Diversified Metals & Mining	Raw Materials	3,478	Benny Kurniawan, CFA	47
Aneka Tambang	ANTM IJ	Indonesia	Gold	Raw Materials	4,211	Benny Kurniawan, CFA	50
Vale	VALE3 BZ	Brazil	Steel	Raw Materials	68,737	Rodolfo Angele, CFA	34

Source: J.P. Morgan Research

Ideas to Make the Grid Great Again

Grid investments and related infrastructure represent a significant growth opportunity, driven by the increasing share of electrification and energy demand from buildings, manufacturing, transportation and datacenters. Investment in the grid is estimated to have reached US\$490bn in 2025, and is expected to grow at a CAGR of 4% over the next five years (BNEF). Within this, smart grid and cybersecurity investments are likely to see the strongest growth, with a CAGR of 9% each. Energy storage systems (ESS) are poised for even higher growth than grid infrastructure itself, with conservative forecasts of annual global installations seeing a 20% CAGR over the next five years.

However, underinvestment in grids is emerging as a key bottleneck in meeting energy demand: Over 2,500 GW of renewable, data center and storage projects worldwide are currently waiting to be connected to the grid. The median wait time to connect to the grid in the US was five years in 2022, whilst developers have to wait for more than ten years in parts of Europe. An unreliable grid has measurable costs: every year, outages cost firms in EMDEs US\$185 billion in efficiency losses, lost sales and back-up generation, and losses from theft and metering inefficiency amount to an estimated US \$90bn globally. Curtailment has increased meaningfully on the back of a higher share of renewables in the power matrix, to the point that our fundamental analysts expect it to average 30% for solar and 20% for wind in Brazil. Cyberattacks are an emerging risk: an improbable, but technologically feasible attack on the US power grid could cause economic and insurance losses between \$240bn and US\$1tn. In our “Make the Grid Great Again” thematic report, we discuss the challenges facing the grid, examine relevant policy, size the growth opportunity, and, more importantly, identify investment ideas, which are summarized in the following table.

Table 6: OW-rated stocks to “make the grid great again”

Name	Ticker	Country	Sector	Grid solution	Mkt cap (\$mn)	Analyst	Upside
KEI Industries Limited	KEI IN	India	Electrical Components & Equipment	Cables	5,437	Rishabh Gupta	6
Polycab India Limited	POLYCAB IN	India	Electrical Components & Equipment	Cables	15,247	Rishabh Gupta	7
Orient Cables - A	603606 CH	China	Electrical Components & Equipment	Cables	4,985	Alan Hon	49
Prysmian	PRY IM	Italy	Electrical Components & Equipment	Cables	47,749	Akash Gupta	18
Rolls-Royce	RR/ LN	United Kingdom	Aerospace & Defense	Distributed Generation	155,687	David H Perry, CFA	8
Vibra Energia SA	VBBR3 BZ	Brazil	Automotive Retail	Distributed generation	6,175	Rodolfo Angele, CFA	43
Sungrow - A	300274 CH	China	Electrical Components & Equipment	ESS	46,783	Alan Hon	39
LG Energy Solution	373220 KS	South Korea	Electrical Components & Equipment	ESS	63,500	Parsley Ong	29
CALB	3931 HK	China	Automotive Parts & Equipment	ESS	2,648	Rebecca Wen	47
Samsung SDI	006400 KS	South Korea	Electronic Components	ESS	29,852	Sonny Lee	40
CATL - H	3750 HK	ng Kong SAR, Ch	Electrical Components & Equipment	ESS	14,249	Rebecca Wen	1
Bloom Energy	BE US	United States	Heavy Electrical Equipment	Generators and UPS	81,411	Mark Strouse, CFA	-3
Generac	GNRC US	United States	Electrical Components & Equipment	Generators and UPS	15,969	Mark Strouse, CFA	-1
Caterpillar Inc.	CAT US	United States	ion Machinery & Heavy Transportation E	Generators and UPS	473,503	Tami Zakaria, CFA	21
United Rentals, Inc.	URI US	United States	Trading Companies & Distributors	Generators and UPS	72,195	Tami Zakaria, CFA	-3
Xuji Electric - A	000400 CH	China	Heavy Electrical Equipment	Grid equipment, modernization and reliability	3,477	Stephen Tsui, CFA	43
Quanta Services	PWR US	United States	Construction & Engineering	Grid equipment, modernization and reliability	108,492	Mark Strouse, CFA	11
Hyosung Heavy Industries	298040 KS	South Korea	Heavy Electrical Equipment	Grid equipment, modernization and reliability	23,827	Stephen Tsui, CFA	1
Legrand	LR FP	France	Electrical Components & Equipment	Grid equipment, modernization and reliability	42,893	Phil Buller	30
Nari Technology - A	600406 CH	China	Heavy Electrical Equipment	Grid equipment, modernization and reliability	27,979	Stephen Tsui, CFA	27
Hitachi (6501)	6501 JP	UAE	Industrial Conglomerates	Grid equipment, modernization and reliability	129,361	Junya Ayada	20
Qingdao TGOOD Electric	300001 CH	China	Electrical Components & Equipment	Grid equipment, modernization and reliability	6,093	Stephen Tsui, CFA	-10
Schneider Electric	SU FP	France	Electrical Components & Equipment	Grid equipment, modernization and reliability	180,456	Phil Buller	17
Samsung C&T	028260 KS	South Korea	Industrial Conglomerates	Grid equipment, modernization and reliability	55,329	Jay Kwon	16
Valmont Industries	VMI US	United States	Construction & Engineering	Grid equipment, modernization and reliability	10,745	Tomohiko Sano	-4
SPIE	SPIE FP	France	Diversified Support Services	Grid equipment, modernization and reliability	9,733	Jane L Sparrow	12
Siemens Energy	ENR GR	Germany	Heavy Electrical Equipment	Grid equipment, modernization and reliability	144,076	Phil Buller	45
GE Vernova	GEV US	United States	Heavy Electrical Equipment	Grid equipment, modernization and reliability	266,307	Mark Strouse, CFA	33
MasTec	MTZ US	United States	Construction & Engineering	Grid equipment, modernization and reliability	28,986	Mark Strouse, CFA	32
Mitsubishi Electric (6503)	6503 JP	Japan	Heavy Electrical Equipment	Grid equipment, modernization and reliability	73,064	Junya Ayada	11
Infineon Technologies	IFX GR	Germany	Semiconductors	Grid equipment, modernization and reliability	119,528	Sandeep Deshpande	-6
Siemens	SIE GR	Germany	Industrial Conglomerates	Grid equipment, modernization and reliability	249,672	Phil Buller	23
Itron	ITRI US	United States	Electronic Equipment & Instruments	Meters	3,719	Mark Strouse, CFA	39
Sunrun Inc.	RUN US	United States	Electrical Components & Equipment	Rooftop solar PV	3,335	Mark Strouse, CFA	76
Hanwha Solutions Corp	009830 KS	South Korea	Commodity Chemicals	Rooftop solar PV	4,784	Parsley Ong	42
Premier Energies	PREMIERE IN	India	Semiconductors	Rooftop solar PV	5,047	Sanjay Mookim	4
HD Hyundai Electric	267260 KS	South Korea	Heavy Electrical Equipment	Transformers	26,537	Stephen Tsui, CFA	18
CG Power Ltd	CGPOWER IN	India	Electrical Components & Equipment	Transformers	15,187	Atul Tiwari	-1
Isa Energia	ISAE4 BZ	Brazil	Electric Utilities	Transmission and distribution	3,598	Arthur Pereira, CFA	9
Entergy Corp.	ETR US	United States	Electric Utilities	Transmission and distribution	48,947	Jeremy Tonet, CFA	16
Equatorial	EQTL3 BZ	Brazil	Electric Utilities	Transmission and distribution	9,242	Arthur Pereira, CFA	36
Power Grid Ltd	PWGR IN	India	Electric Utilities	Transmission and distribution	28,001	Atul Tiwari	21
National Grid	NG/ LN	United Kingdom	Multi-Utilities	Transmission and distribution	82,089	Pavan Mahbubani, CFA	18
Energisa	ENG11 BZ	Brazil	Electric Utilities	Transmission and distribution	4,588	Arthur Pereira, CFA	36
Alupar	ALUP11 BZ	Brazil	Electric Utilities	Transmission and distribution	2,081	Arthur Pereira, CFA	28
Xcel Energy	XEL US	HK SAR, China	Electric Utilities	Transmission and distribution	45,706	Jeremy Tonet, CFA	15
E.ON	EOAN GR	Germany	Multi-Utilities	Transmission and distribution	55,594	Pavan Mahbubani, CFA	20
Copel	CPL3 BZ	Brazil	Electric Utilities	Transmission and distribution	8,569	Arthur Pereira, CFA	24
CMS Energy Corporation	CMS US	HK SAR, China	Multi-Utilities	Transmission and distribution	22,522	Jeremy Tonet, CFA	11
SSE Plc	SSE LN	United Kingdom	Electric Utilities	Transmission and distribution	38,552	Pavan Mahbubani, CFA	24
DEWA	DEWA UH	nited Arab Emirat	Multi-Utilities	Transmission and distribution	37,435	Anna Antonova, CFA	20
Manila Electric Company	MER PM	Philippines	Electric Utilities	Transmission and distribution	10,867	Jelline Gaza, CFA	30
PPL Corporation	PPL US	United States	Electric Utilities	Transmission and distribution	26,952	Jeremy Tonet, CFA	16
Larsen & Toubro Ltd.	LT IN	India	Construction & Engineering	Transmission and distribution	60,793	Atul Tiwari	21
NiSource Inc.	NI US	United States	Multi-Utilities	Transmission and distribution	22,449	Eli Jossen, CFA	10
Axia ON	AXIA3 BZ	Brazil	Electric Utilities	Transmission and distribution	24,212	Arthur Pereira, CFA	22
Ameren Corporation	AEE US	United States	Multi-Utilities	Transmission and distribution	29,737	Jeremy Tonet, CFA	15
PPC Group	PPC GA	Greece	Electric Utilities	Transmission and distribution	15,745	Anna Antonova, CFA	10
ENEL	ENEL IM	Italy	Construction Machinery	Transmission and distribution	117,068	Javier Garrido	5
CK Infrastructure	1038 HK	HK SAR, China	Electric Utilities	Transmission and distribution	19,038	Stephen Tsui, CFA	17
Tenaga	TNB MK	Malaysia	Electric Utilities	Transmission and distribution	20,850	Samuel Tan	4
Power Assets	6 HK	ng Kong SAR, Ch	Electric Utilities	Transmission and distribution	15,477	Stephen Tsui, CFA	14
PG&E Corp.	PCG US	United States	Electric Utilities	Transmission and distribution	37,873	Aidan C Kelly	39

Source: J.P. Morgan Research

Adaptation reloaded

The past 11 years have been [the hottest](#) on record globally, each posting temperatures at least 1°C above pre-industrial levels. Furthermore, 2024 broke all records, at about 1.55°C above pre-industrial levels, and 2025 was not far behind, highlighting the urgency of not just mitigating GHG emissions but also the importance of learning to live on and adapt to a warmer planet.

Adaptation strategies can also deliver positive economic returns, with estimates from the Global Center for Adaptation resulting in ~US\$7tn of net economic, social and

environmental benefit from just US\$1.8tn of investment in adaptation solutions by 2030 ([link](#)). Finally, adaptation financing needs of developing countries are expected to be at least US\$310bn per year by 2035 according to UNEP ([link](#)), highlighting opportunities for investment. Consequently, we expect investors to have a greater focus on adaptation solutions.

In our [Adaptation Reloaded report](#), we screened the J.P. Morgan coverage universe to identify companies that have significant exposure to climate adaptation solutions/activities, such as:

- **Early warning and environmental assessment:** includes climate modeling, emergency response and environmental services;
- **Agrifood and forestry:** includes fertilizers, sustainable food, preventing food waste, agricultural productivity, crop protection, precision agriculture, ecosystem conservation, sustainable agriculture and cold chain;
- **Water:** includes water efficiency, water utilities and desalination;
- **Resilient health;**
- **Infrastructure and Urban:** includes energy storage systems, industrial cooling, district cooling, home cooling, insulation, resilient infrastructure, smart grid, smart meters, uninterruptible power supply and air quality;
- **Finance:** includes P&C insurance and reinsurance;
- **R&D**

The following table summarizes the “adaptation stocks” that are currently rated OW by our covering analysts.

Table 7: OW-rated companies that provide solutions and services related to Adaptation

Name	Ticker	Country	Sector	Adaptation solution	Mkt cap (\$mn)	Analyst	Upside
Novonesis	NSISB DC	Denmark	Specialty Chemicals	Agricultural productivity	27,410	Chetan Udeshi, CFA	32
International Flavors & Fragrance	IFF US	United States	Specialty Chemicals	Agricultural productivity	20,098	Jeffrey J. Zekauskas	17
Croda	CRDA LN	United Kingdom	Specialty Chemicals	Crop protection	5,758	Chetan Udeshi, CFA	30
Smurfit WestRock (LN)	SWR LN	Ireland	ar & Plastic Packaging Products & Mate	Ecosystem conservation	22,938	Detlef Winckelmann	39
Dexco	DXCO3 BZ	Brazil	Forest Products	Ecosystem conservation	861	Rodolfo Angele, CFA	77
Suzano SA	SUZB3 BZ	Brazil	Paper Products	Ecosystem conservation	10,485	Rodolfo Angele, CFA	58
Nutrien	NTR US	Canada	Fertilizers & Agricultural Chemicals	Fertilizers	31,190	Jeffrey J. Zekauskas	21
Mahindra & Mahindra	MM IN	India	Automobile Manufacturers	Precision agriculture	41,187	Amyr Pirani	32
AGCO Corp.	AGCO US	United States	Agricultural & Farm Machinery	Precision agriculture	8,407	Tami Zakaria, CFA	27
Darling Ingredients Inc.	DAR US	United States	Agricultural Products & Services	Preventing food waste	9,037	Thomas Palmer, CFA	41
Danone	BN FP	France	Packaged Foods & Meats	Sustainable Agriculture	49,578	Celine Pannuti, CFA	36
PepsiCo	PEP US	United States	Soft Drinks & Non-alcoholic Beverages	Sustainable agriculture	203,288	Andrea Teixeira, CFA	22
Verisk Analytics	VRSK US	United States	Research & Consulting Services	Climate modelling	24,402	Andrew C. Steinerman	28
Neurocrine Biosciences	NBIX US	United States	Biotechnology	Resilient health	16,031	Anupam Rama	16
Coway	021240 KS	South Korea	Household Appliances	Air quality	4,285	Jihyun Cho	42
Empower	EMPOWER UH	United Arab Emirate	Water Utilities	District cooling	4,492	Anna Antonova, CFA	30
CALB	3931 HK	China	Automotive Parts & Equipment	Energy storage systems	2,648	Rebecca Wen	47
Sungrow - A	300274 CH	China	Electrical Components & Equipment	Energy storage systems	46,783	Alan Hon	39
CATL - A	300750 CH	China	Electrical Components & Equipment	Energy storage systems	263,229	Rebecca Wen	29
Bloom Energy	BE US	United States	Heavy Electrical Equipment	Energy storage systems	81,411	Mark Strouse, CFA	-3
Sunrun Inc.	RUN US	United States	Electrical Components & Equipment	Energy storage systems	3,335	Mark Strouse, CFA	76
Brookfield Renewable Partners	BEP US	United States	Renewable Electricity	Energy storage systems	10,596	Mark Strouse, CFA	16
Midea Group - A	000333 CH	China	Household Appliances	Home cooling	88,897	DS Kim	33
Haier Smart Home Co Ltd - H	6690 HK	China	Household Appliances	Home cooling	25,454	DS Kim	18
Sunonwealth	2421 TT	Taiwan, China	Industrial Machinery & Supplies & Compon	Industrial cooling	1,133	Jerry Tsai	50
Asia Vital Components	3017 TT	Taiwan, China	chnology Hardware, Storage & Peripher	Industrial cooling	28,790	William Yang	35
Nien Made	8464 TT	Taiwan, China	Home Furnishings	Insulation	3,260	Gokul Hariharan	57
Rockwool	ROCKB DC	Denmark	Building Products	Insulation	7,190	Zaim Beekawa	16
Saint-Gobain	SGO FP	France	Building Products	Insulation	45,021	Elodie Rall	27
Nittoho (3110)	3110 JP	Japan	Building Products	Insulation	4,925	Mio Shikanai	34
Chicony Power Technology	6412 TT	Taiwan, China	Electrical Components & Equipment	Resilient Infrastructure	1,115	Jerry Tsai	21
James Hardie Industries PLC	JHX AU	Australia	Construction Materials	Resilient Infrastructure	14,465	Lee Power	8
Ferrovial	FER SM	Spain	Construction & Engineering	Resilient Infrastructure	51,492	Elodie Rall	9
CRH Plc	CRH US	Ireland	Construction Materials	Resilient Infrastructure	73,765	Adrian E Huerta	28
Holcim Ltd	HOLN SW	Switzerland	Construction Materials	Resilient Infrastructure	53,285	Elodie Rall	11
Heidelberg Materials	HEI GR	Germany	Construction Materials	Resilient Infrastructure	42,107	Elodie Rall	37
Cemex	CX US	Mexico	Construction Materials	Resilient Infrastructure	18,675	Adrian E Huerta	13
Iron Mountain	IRM US	United States	Other Specialized REITs	Resilient Infrastructure	37,737	Andrew C. Steinerman	9
Xuji Electric - A	000400 CH	China	Heavy Electrical Equipment	Smart grid	3,477	Stephen Tsui, CFA	43
Nari Technology - A	600406 CH	China	Heavy Electrical Equipment	Smart grid	27,979	Stephen Tsui, CFA	27
Siemens Energy	ENR GR	Germany	Heavy Electrical Equipment	Smart grid	144,076	Phil Buller	45
Itron	ITRI US	United States	Electronic Equipment & Instruments	Smart meters	3,719	Mark Strouse, CFA	39
Chroma ATE	2360 TT	Taiwan, China	Electronic Equipment & Instruments	Uninterruptible power supply	31,339	Jerry Tsai	29
Generac	GNRC US	United States	Electrical Components & Equipment	Uninterruptible power supply	15,969	Mark Strouse, CFA	-1
ICICI Lombard General Insurance	ICICIGI IN	India	Property & Casualty Insurance	Insurance and Reinsurance	9,244	Madhukar Ladha	22
LPI Capital	LPI MK	Malaysia	Property & Casualty Insurance	Insurance and Reinsurance	1,493	MW Kim	32
General Insurance Corp of India	GICRE IN	India	Reinsurance	Insurance and Reinsurance	6,639	Madhukar Ladha	40
QBE Insurance Group	QBE AU	Australia	Property & Casualty Insurance	Insurance and Reinsurance	24,931	Siddharth Parameswaran	2
Tokio Marine Holdings (8766)	8766 JP	Japan	Property & Casualty Insurance	Insurance and Reinsurance	87,907	Koki Sato	6
IRB Brasil Re	IRBR3 BZ	Brazil	Reinsurance	Insurance and Reinsurance	836	Guilherme Grespan	20
Palomar	PLMR US	United States	Property & Casualty Insurance	Insurance and Reinsurance	2,996	Pablo S. Singzon	33
Springer Nature	SPG GR	Germany	Publishing	R&D	4,196	Daniel Kerven	70
RELX PLC	REL LN	United Kingdom	Research & Consulting Services	R&D	60,946	Daniel Kerven	110
DEWA	DEWA UH	United Arab Emirate	Multi-Utilities	Desalination	37,435	Anna Antonova, CFA	20
Rotork	ROR LN	United Kingdom	Industrial Machinery & Supplies & Compon	Desalination	3,502	Chitrita C Sinha	25
Toray (3402)	3402 JP	Japan	Commodity Chemicals	Desalination	11,748	Yasuhiro Nakada	16
Genuit Group	GEN LN	United Kingdom	Building Products	Water efficiency	903	Chitrita C Sinha	62
Elis	ELIS FP	France	Diversified Support Services	Water efficiency	7,224	Jane L. Sparrow	6
Metso Corporation	METSO FH	Finland	on Machinery & Heavy Transportation E	Water efficiency	15,022	Chitrita C Sinha	12
Ecolab Inc.	ECL US	United States	Specialty Chemicals	Water efficiency	76,565	Jeffrey J. Zekauskas	10
CK Infrastructure	1038 HK	Hong Kong SAR, Chi	Electric Utilities	Water utilities	19,038	Stephen Tsui, CFA	17
Sabesp	SBSP3 BZ	Brazil	Water Utilities	Water utilities	3,893	Arthur Pereira, CFA	43
Copasa	CSMG3 BZ	Brazil	Water Utilities	Water utilities	4,248	Arthur Pereira, CFA	17

Source: J.P. Morgan Research

EMEA: electro sovereignty and shareholder activists

EU Electro-Sovereignty Opportunities

[AccelerateEU](#), published by the European Commission on 22 April 2026, is framed as a “comprehensive toolbox” responding to recent spikes in imported fossil-fuel prices and an estimated €24bn increase in the EU’s energy import costs since the Middle East conflict began. In our view ([here](#)), this communication is more of a roadmap than a legislative arsenal. Yet, it highlights a near-term policy window—legislative proposals expected between May and July 2026 and key milestones such as an Electrification Action Plan by summer 2026 and a push to conclude negotiations on the European Grids Package before summer 2026. The policy thrust is towards consumer/industry protection plus structural electrification and grid investment, including mobilizing €100bn for industry via the Industrial Decarbonisation Bank, inc. a €30 bn Investment Booster funded by 400 mn EU ETS allowances. This comes against a backdrop of ~€660bn in annual clean-energy investment needs through 2030. In our view, AccelerateEU reinforces the investment case for the EU “electro-sovereignty” theme. Beyond policy-driven catalysts mentioned above, the case is reinforced by improving renewable economics & secular energy transition trends, exemplified by the fact that, in 2025, wind and solar produced more electricity than fossil fuels in the EU for the first time. At the same time, higher gas generation lifted the fossil gas import bill by 16%, highlighting the need to focus on domestic low-carbon electrification as a way to 1) increase strategic autonomy, 2) reduce exposure to fossil fuel volatility to ensure access to long term affordable energy and 3) deliver on EU climate goals. Against this setup, and based on published research on [Electrification](#), [Nuclear](#), [Grids](#), & [Autos](#), we highlight 28 Overweight-rated EMEA listed companies, positioned across clean tech, grids, storage, EVs, and building electrification/efficiency as potential beneficiaries of the policy momentum and capital deployment focus.

Table 8: EU Electro-sovereignty

Name	Ticker	Sector	Electrification solution	Mkt cap (\$mn)	Analyst	Upside
Legrand	LR FP	Electrical Components & Equipment	Datacenters, Grid Equipment	42,893	Phil Buller	30
Siemens	SIE GR	Industrial Conglomerates	Datacenters, Grid Equipment	249,672	Phil Buller	23
Renault	RNO FP	Automobile Manufacturers	Evs	8,783	Jose M Asumendi	62
Mercedes Benz	MBG GR	Automobile Manufacturers	Evs	59,361	Jose M Asumendi	46
BMW	BMW GR	Automobile Manufacturers	Evs	48,659	Jose M Asumendi	56
Prysmian	PRY IM	Electrical Components & Equipment	Grid Equipment	47,749	Akash Gupta	18
SPIE	SPIE FP	Diversified Support Services	Grid Equipment	9,733	Jane L Sparrow	12
Atlas Copco	ATCOA SS	Industrial Machinery & Supplies & Components	Industrial Electrification	99,687	Phil Buller	14
IMI	IMI LN	Industrial Machinery & Supplies & Components	Industrial Electrification, Nuclear	9,989	Chitrita C Sinha	2
Schneider Electric	SU FP	Electrical Components & Equipment	Industrial Electrification, Grid Equipment	180,456	Phil Buller	17
Rexel	RXL FP	Trading Companies & Distributors	Industrial Electrification, Heat Pumps, Buildings Efficiency	12,977	Akash Gupta	12
Rockwool	ROCKB DC	Building Products	Insulation & Buildings Efficiency	7,190	Zaim Beekawa	16
Saint Gobain	SGO FP	Building Products	Insulation & Buildings Efficiency	45,021	Elodie Rall	27
Alstom	ALO FP	Construction Machinery & Heavy Transportation Equipment	Modal Shifts, Transport Electrification	8,340	Akash Gupta	68
E.ON	EOAN GR	Multi-Utilities	Networks	55,594	Pavan Mahbubani, CFA	20
National Grid	NG/ LN	Multi-Utilities	Networks	82,089	Pavan Mahbubani, CFA	18
Engie	ENGI FP	Multi-Utilities	Networks, BESS	79,267	Javier Garrido	19
Bouygues	EN FP	Construction & Engineering	Nuclear	22,562	Akhil Dattani	45
Babcock	BAB LN	Aerospace & Defense	Nuclear	7,020	David H Perry, CFA	44
Rotork	ROR LN	Industrial Machinery & Supplies & Components	Nuclear	3,502	Chitrita C Sinha	25
Rolls Royce	RR/ LN	Aerospace & Defense	Nuclear, Distributed Generation	155,687	David H Perry, CFA	8
Centrica	CNA LN	Multi-Utilities	Nuclear, Power Generation	11,234	Pavan Mahbubani, CFA	29
ENEL	ENEL IM	Electric Utilities	Power Generation & Networks	117,068	Javier Garrido	5
SSE Plc	SSE LN	Electric Utilities	Power Generation & Networks	38,552	Pavan Mahbubani, CFA	24
RWE	RWE GR	Independent Power Producers & Energy Traders	Power Generation, Renewables	44,889	Pavan Mahbubani, CFA	19
Andritz	ANDR AV	Industrial Machinery & Supplies & Components	Renewable Energy Equipment	8,973	Akash Gupta	-3
Siemens Energy	ENR GR	Heavy Electrical Equipment	Renewable Energy, Grid Equipment, Nuclear	144,076	Phil Buller	45
Vestas	VWS DC	Heavy Electrical Equipment	Renewable Manufacturing	26,717	Akash Gupta	27

Source: J.P. Morgan Research

Shareholder Activism

Based on the team’s recent [primer](#) on Shareholder Activism and EMEA-focused companion [note](#), we introduce below a list of 5 OW-rated stocks, where either activism has contributed positively to our analysts’ investment thesis, or where ongoing activist

pressure — despite attracting significant attention — has not altered our analysts' constructive view on the name.

Bloomberg's data suggests that campaign volumes have structurally stepped up since 2022, driven by Japan, the US, South Korea, but also some European markets like the UK and Germany. In the medium term, the [revision](#) of the EU Shareholder Rights Directive could be a potential catalyst for further shareholder activism in the region, in our view, by harmonizing key shareholder rights and facilitating cross-border investor engagement. Proposed actions relevant to activists [include](#) introducing an EU-wide definition of "shareholder", enabling virtual and hybrid general meetings more systematically, further standardizing AGM practices, and [strengthening](#) regulatory oversight of proxy advisors. However, we expect implementation will take time: following the consultation's closure in early May 2026, the Commission must now publish a legislative proposal, which must then be adopted by the co-legislators and transposed into national law by Member States within two years.

Table 9: Shareholder Activism ideas

Name	Ticker	Sector	Mkt cap (\$mn)	Analyst	Upside
Delivery Hero	DHER GR	Restaurants	11,822	Marcus Diebel	-26
Leonardo	LDO IM	Aerospace & Defense	34,431	David H Perry, CFA	35
Marston's	MARS LN	Restaurants	435	Karan Puri	65
UMG	UMG NA	Movies & Entertainment	38,202	Daniel Kerven	165
Workspace	WKP LN	Office REITs	892	Neil Green, CFA	18

Source: J.P. Morgan Research

Table 10: Shareholder Activism ideas in detail

Name	Ticker	Explanation
Delivery Hero	DHER GR	In the weeks following Aspex's escalation of its activist campaign, Delivery Hero announced the departure of Co-Founder and CEO Niklas Östberg, and an increase in Uber's stake — amid an ongoing strategic review. Covering analyst Marcus Diebel sees the Uber's announcement as providing further momentum to the M&A investment case. He sees limited likelihood of the Delivery Hero board engaging in further disposals at this stage, absent a public bid at a required compelling valuation. He also expects any meaningful regulatory intervention/review to be protracted, potentially 12 months or longer, but notes that visibility on the timeline is arguably low.
Leonardo	LDO IM	Activist investor Wyser-Pratte rallied opposition to the Italian government's decision to replace CEO Roberto Cingolani by Mr. Lorenzo Mariani. At the May 2026 AGM, the government's slate prevailed with 50.1% of votes against 49.5% for the institutional investor alternative (backed by ISS and Glass Lewis), despite the government holding only 30.2% of shares. Following the general meeting, Mr. Francesco Macri became the new Chairman of the Board and Mr. Lorenzo Mariana the new CEO. On May 8th, Covering analyst David Perry hosted a virtual roadshow with Leonardo's CFO, Giuseppe Aurilio, who indicated he does not expect any change to Leonardo's strategy and current Industrial Plan following the management changes.
Marston's	MARS LN	Bradley L. Radoff voted against the re-election of all five non-executive directors at the January 2026 AGM, criticizing the board for failing to return capital to shareholders. All non-executive directors were re-elected, though Chair Ken Lever received the highest opposition at 11.9% of votes against — notably above the opposition received by executive directors. Covering analyst Karan Puri continues to view the MARS equity story as appealing, given its: 1) potential for margin expansion, 2) ongoing de-leveraging, with potential for shareholder returns as early as FY 27, and 3) defensiveness, given its wet-led, suburban and value end exposure. Separately, he sees valuation as attractive, with its 1-yr fwd EV/EBITDA coming in ~30% below the pre-COVID average.
UMG	UMG NA	In April 2026, Pershing Square proposed a merger transaction that would combine UMG with Pershing Square SPARC Holdings, with the merged entity becoming "New UMG", a Nevada corporation listed on the NYSE. Pershing also proposed a refreshed board, revised capital allocation framework and a U.S. listing structure. In line with the expectation of covering analyst Daniel Kerven, UMG's board rejected Pershing's proposal, which would have potentially required investors to sell 23% of their shares at a material discount to UMG's fair value. However, Daniel highlights that Pershing's activism already had some impact, with UMG announcing a bigger buyback and some additional disclosure to help investors better understand the business.
Workspace	WKP LN	Saba Capital demanded a managed wind-down of Workspace's portfolio and the return of capital to shareholders within a year, citing the company's persistent trading discount and poor share price performance. The board rejected the proposal as unachievable; Workspace replaced its CEO in January 2026. In May 2026, Saba called a vote to install its own board to oversee the wind-down. Covering analyst Neil Green agrees with the new management team's assessment that the portfolio is made up of quality buildings in good locations with long-term structural demand, and also that the opportunity lies in repositioning (and elevating) the offer. However, this repositioning will take some time, with the market likely wanting to see progress here before re-engaging.

Source: J.P. Morgan Research

US clean energy: Tier 1 renewable players for tier 1 customers

Overall, capacity additions in renewables+storage for the 2026-27 period are expected to exceed on average those in 2025. Beyond that, BNEF projects a decline in 2028-29, and a renewed acceleration afterwards.

As evidenced by FY26 guidance for utility-scale providers, many management teams see strong growth in their respective markets over the coming years, which we believe may be evidence of a market divergence between large, tier-1 renewable developers/EPCs versus smaller peers. We believe the US industry is ripe for consolidation as projects become larger and more complex (e.g. solar+storage instead of solar-only), and larger participants generally have stronger experience and financial wherewithal to adapt to changing policy regulations (e.g. compliance with safe harbor and FEOC). We believe this dynamic supports our continued preference for high-quality tier-1 renewable developers/financiers and equipment makers that primarily serve tier-1 customers (BEP, FSLR, MWH, NXT).

Separately, we have recently initiated on Fervo (FRVO), an industry pioneer in enhanced geothermal systems (EGS), a market that we believe is ripe to revolutionize the traditional geothermal and broader power markets by providing clean, baseload power. The founder-led company maintains a first mover advantage with strong operational data from initial project activity, solid access to prime acreage, and leverages an already established OFS supply chain. We believe EGS is now reaching a boiling point and look for contract announcements and project execution to serve as positive catalysts, increasing visibility into ramping earnings over the next several years. FRVO is Mark's only stock on the NA Analyst Focus List.

Table 11: Preferred OW-rated renewables players in the US

Name	Ticker	Sector	Mkt cap (\$mn)	Analyst	Upside
Brookfield Renewable Partners	BEP US	Renewable Electricity	10,596	Mark Strouse, CFA	16
First Solar, Inc	FSLR US	Semiconductors	29,407	Mark Strouse, CFA	-6
SOLV Energy	MWH US	Construction & Engineering	3,712	Mark Strouse, CFA	59
Nextpower	NXT US	Electrical Components & Equipment	19,461	Mark Strouse, CFA	38
Fervo	FRVO US	Renewable Electricity	7,543	Mark Strouse, CFA	33

Source: J.P. Morgan Research

LatAm: positioning for El Niño and ESS ideas

El Niño - mixed impacts across regions and sectors

El Niño has moved from a monitoring risk to a high-probability macro factor for 2026. NOAA's Climate Prediction Center now sees an 82% probability of El Niño emerging in May–July 2026 and a 96% probability of it persisting through Dec/26–Feb/27.

The phenomenon starts with unusually warm waters in the equatorial Pacific and can reshape weather globally; in Brazil, it tends to tilt parts of the North and Northeast toward hotter, drier conditions while increasing the likelihood of heavier rainfall and flooding in the South. The Center-West and Southeast are typically more mixed, which makes timing—planting windows, reservoir replenishment, and peak-demand months—at least as important as the absolute intensity of the event.

El Niño is expected to negatively impact: 1) food retailers due to substitution effects driven by food inflation, and 2) financial institutions with exposure to agribusiness loans and insurance.

For Utilities and Agribusiness, the impact is mixed and depends on assets' locations. **In Utilities**, El Niño is likely to drive: 1) high temperatures in the Northeast region, boosting volumes for power distributors and 2) high rainfall in the South region, which could pressure regional power prices. **In Agribusiness**, the downside is most acute in names where on-farm productivity and field execution are the profit engine, because yield swings, delays, and higher costs tend to flow directly into margins. The upside is generally more selective: tighter supply can lift commodity prices, but the winners depend on cost position, product mix, and the hedge book.

Our main recommendations: 1) Long: EQTL, with 50% of NAV coming from NE power distributors, 2) Short: EGIE, given high concentration of its generation portfolio in the South region. A deeper analysis is available in [El Niño - How to Position: Stock ideas](#).

Table 12: How to position for El Niño

Name	Ticker	Sector	Mkt cap (\$mn)	Analyst	Reco	Upside
Equatorial	EQTL3 BZ	Electric Utilities	9,242	Arthur Pereira, CFA	OW	36
AXIA	AXIA3 BZ	Electric Utilities	24,212	Arthur Pereira, CFA	OW	22
Engie Brasil	EGIE3 BZ	Renewable Electricity	7,807	Arthur Pereira, CFA	UW	-5

Source: J.P. Morgan Research

Table 13: El Niño ideas, explained

Name	Ticker	Explanation
Equatorial	EQTL3	El Nino could boost power consumption in Brazil's Northeast, posing risk to EQTL's distributors in the region (50% of NAV). Moreover, EQTL's renewable platform (10% NAV) could also benefit from higher wind output at higher spot prices.
AXIA	AXIA3	El Nino could support higher power prices due to lack of rainfall in Brazil's N/NE, in which AXIA has 60% of its generation capacity. Moreover, expected warmer temperatures in Brazil's Southeast could support higher average prices for the system and AXIA is the most levered name to power prices.
Engie Brasil	EGIE3	We recommend a short position on EGIE as we expect El Nino to negatively impact power prices in Brazil's South region, translating into lower realized prices for 38% of EGIE's generation portfolio.

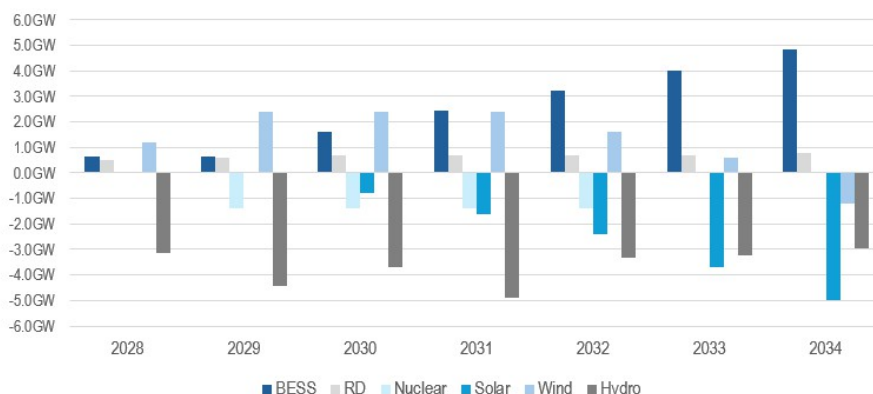
Source: J.P. Morgan Research

Energy storage – first regulated auction could pave the way for >2GW greenfield

Brazil's power regulators have scheduled two Capacity Auctions for energy storage systems for early Dec/2026, marking the first contracts designed for BESS and kicking off a >5GW expansion plan for the next few years (Figure 30). Developers should benefit from 15-year fixed and inflation-adjusted revenues to remunerate their invested capital, while not bearing power price risks. For suppliers, government officials decided to break the planned auction into two parts to foster local supply chain, with one of the auctions including local-content requirements.

We see OW-rated WEG as a potential beneficiary, especially in the auction designated for local content. Eyeing this market, WEG's will expand its production capacity in BESS systems to up to 2 GWh per year, equivalent to 400 systems of 5 MWh, including investment of ~R\$300mn funded from BNDES Mais Inovação. This plan is scheduled to go online in 2027. We estimate that in a bull case scenario, BESS potential revenue contribution for WEG of up to ~R\$71bn (~US\$12bn) until 2035 or ~R\$6.4bn/year (~US \$1.1bn/year), assuming the company will have a market share of up to 70% in Brazil and up to 50% in other countries.

Figure 30: Brazilian regulators plan 5GW of BESS capacity in the next years



Source: Brazil Energy Planner ("EPE")

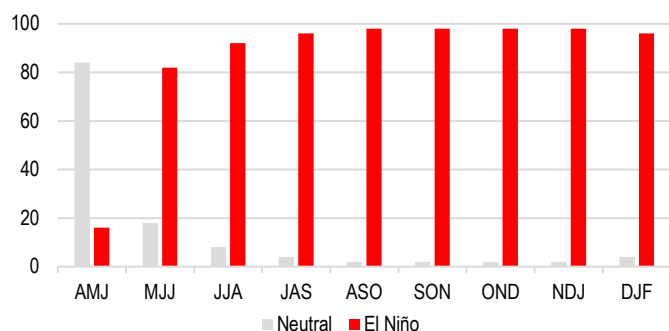
Asia: positioning for El Niño (II) and renewables ideas

El Niño - Expected heat waves this summer are likely to drive up power demand in Asia

Despite the last 11 years being the hottest ever on record, there is a further reason for concern around heatwaves this summer in the Northern Hemisphere: the coming Super El Niño. The WMO are ascribing an 80% likelihood of a switch to El Niño conditions later this year, meaning Asia will be (even) hotter and (mostly) drier in the coming months.

Figure 31: Climate models are predicting >80% chance of an El Niño event for June-August

Y axis: Percentage Chance (%); X axis: Season



Based on $-0.5^{\circ}/+0.5^{\circ}\text{C}$ thresholds in ERSSTv5 Relative Niño-3.4 index/RONI
 Source: NOAA.

Figure 32: El Niño typically brings dry conditions, droughts and heatwaves to SE and S Asia, while escalating rainfall in China and Japan

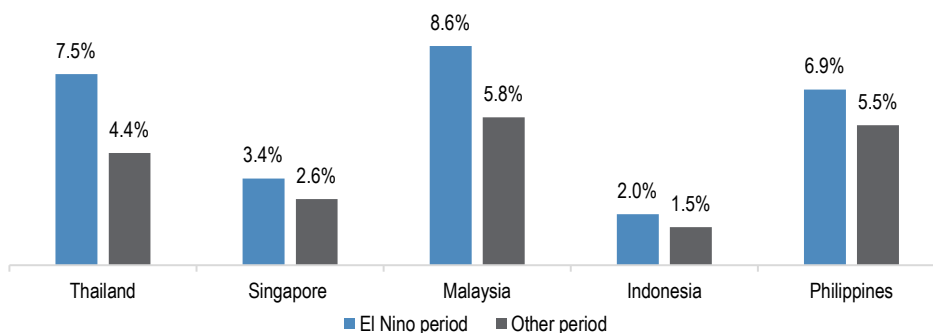


Source: NOAA, Climate Prediction Center.

Beating the heat will mean elevated power demand. In China, for example, a 1°C rise in temperature on a hot day could raise residential power demand by 14.5%. Notably, Southeast Asia is among the regions most exposed to El Niño-related heat, where higher temperatures can quickly translate into an incremental cooling load. Historically, electricity consumption growth in El Niño years has tended to be stronger than in other periods, implying that peak-load stress could intensify further as the El Niño dynamic plays out.

Figure 33: Electricity consumption growth in ASEAN is stronger in El Niño years

Electricity consumption growth (kWh, % yoy)



Source: CEIC Data, J.P. Morgan.

Warmer-than-normal temperatures this year are already testing system peaks. Power demand in India [reached](#) record-breaking levels for four days in a row in May this year, culminating in 270.82GW of all-time high peak power demand on 21 May as temperatures hovered around 45°C in many regions.

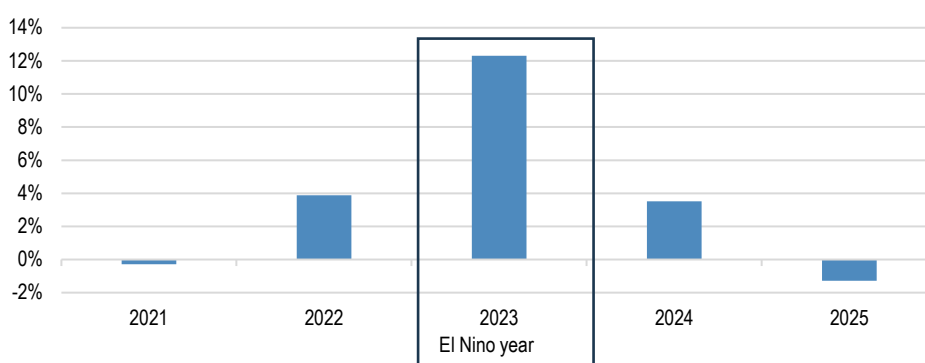
All in all, the El Niño set-up this year suggests a firm summer power-demand backdrop. As such, we highlight **APAC electricity generators** as in the table below, which tend to outperform in summer

Table 14: Valuation comparison of APAC Power Utilities sector

	Ticker	JPM analyst	JPM rating	Share price (LC)	Mkt Cap (USDm)	Daily liquidity (USDm)	PE (x)		P/BV (x)		ROE (%)		EV/EBITDA (x)	
							2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
NTPC	NTPC IN	Atul Tiwari	OW	365.8	37,604	51.3	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Power Grid	PWGR IN	Atul Tiwari	OW	292.3	28,816	44.0	17.3	16.0	2.7	2.5	16.2	16.2	10.2	9.5
Manila Electric	MER PM	Jelline Gaza	OW	591.0	10,987	3.7	12.7	11.0	3.5	3.1	28.7	29.7	10.9	7.8
Tenaga Nasional	TNB MK	Sumedh Samant	OW	14.5	20,434	21.3	17.4	16.6	1.6	1.5	9.1	9.3	7.5	7.2
YTL Corp	YTL MK		NC	2.0	5,649	12.3	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Sembcorp Industries	SCI SP	Sumedh Samant	N	6.3	8,711	28.9	11.9	9.9	1.9	1.8	16.5	18.6	11.2	9.1
Huaneng Power	902 HK	Stephen Tsui	UW	6.5	16,289	37.3	7.7	8.1	1.1	1.0	7.5	6.8	10.6	10.4
China Resources Power	836 HK	Stephen Tsui	N	18.4	12,128	42.0	7.0	7.1	0.8	0.8	12.3	11.2	7.5	7.5
Huadian Power	1071 HK		NC	4.2	7,884	7.7	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Source: Bloomberg Finance L.P. and J.P. Morgan. Bloomberg consensus estimates for Not Covered (NC) stocks, J.P. Morgan estimates for all others.

Figure 34: Performance of the APAC Power Utilities vs. respective index from early May to mid-July



Source: Bloomberg New Energy Finance.

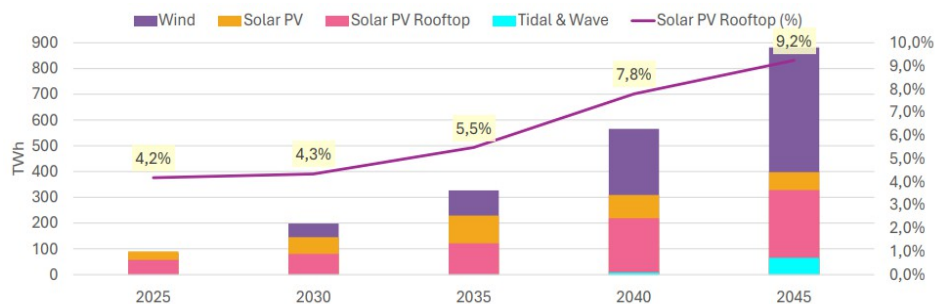
Diesel shock, solar lock

Energy supply disruptions from the Middle East conflict are lifting demand for DG solar and ESS, in our view, as end users prioritize the reliability of electricity access and pull forward adoption. This dynamic could be amplified in an El Niño year: with energy prices - and in some markets energy availability - already elevated, a weather-driven step-up in electricity demand raises the value of dependable, on-site generation.

Improving DG economics strengthens the adoption case, with the clearest near-term upside in high-utilisation island settings. In an ideal remote-island use case, payback has compressed from ~20 months to ~10 months, which should support faster uptake. Over time, policy tilts toward energy resilience may add a structural tailwind; in ASEAN, for example, rooftop solar is projected to represent a 9% share of installed variable renewable energy capacity by 2045.

Figure 35: Policy tailwinds and improving economics should support a growing share of rooftop solar PV in ASEAN, where island use cases can be especially strong

ASEAN vRE growth in power generation (2025-2045)



Source: ASEAN Centre for Energy.

Within our coverage space, we prefer **Deye (605117 CH, OW)**. Deye is a first-mover and cost leader in distributed energy storage systems, especially in Emerging Markets. Its legacy home appliances business enables superior margins and competitive pricing through vertical integration. The company benefits from strong demand driven by energy supply disruptions, rising fuel prices, and global policy incentives for renewables, with a diversified geographic footprint and robust supply chain supporting sustained growth and resilience.

ESS: Energy security with an AI angle

Long lead times for gas and nuclear development are driving earlier adoption of alternative power solutions, with a knock-on benefit for emerging AIDC ESS use cases. Per BNEF, clean power is now usually the fastest to deploy across multiple regions of the US. This dynamic, in our view, supports a more durable demand backdrop for ESS, as AIDC-linked use cases complement the energy security angle that has become more relevant in the current environment. We observed 40% to 60% yoy global ESS installation growth in 1Q26, and now expect global ESS installations may reach 680 GWh to 930 GWh in 2030. (See our note [here](#)). Our top picks for this theme include **CATL-A, LG Energy Solution** and **Sungrow**.

Investable themes in credit

EU renewables in 2026

Developing new renewable assets has become less popular in the utilities sector. Conditions for renewables are stable but not optimal. Headwinds include cost inflation, high funding costs and US trade policy.

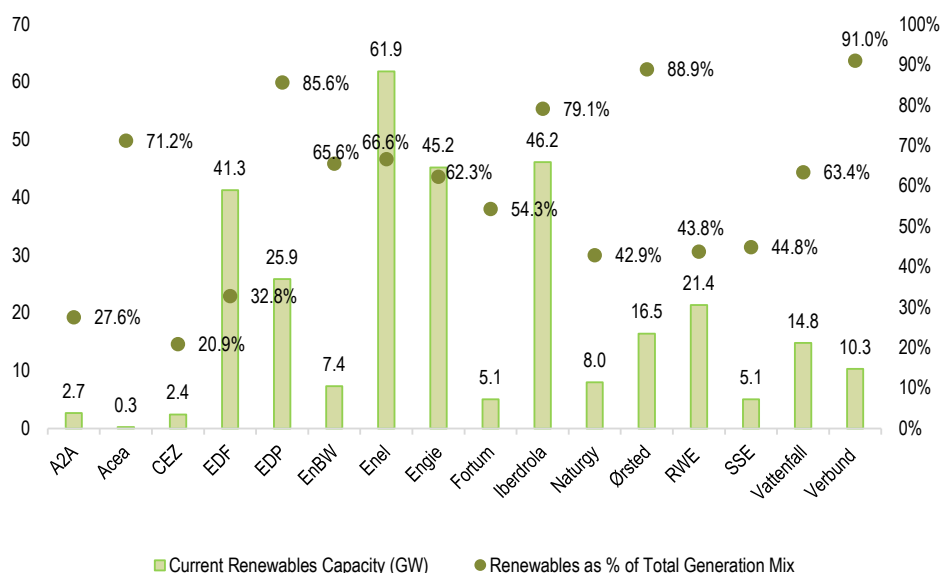
Renewable growth targets have been cut. ‘Selective’ approach to new capacity adopted with higher return hurdle rates. Lower renewables capex should support credit ratios and reduce new issuance.

European policy support for renewables is steady. Demand for subsidy auctions has recovered and long-term targets remain intact. The Middle East energy crisis is creating both risks and opportunities.

The Trump Administration continues its efforts to block renewables project development. European utilities are rotating investment into non-renewable subsectors or withdrawing capital from the US.

Overall, European Utilities Credit analyst William Wade is cautious on issuers with high renewables exposure, although the team has noted a sentiment shift from some European clients who anticipate a resurgence in renewables investing. For now, William maintains a preference for diversified integrated utilities that retain a meaningful renewables component in their business mix (JPM OW ratings include **EnBW**, **Enel**, **Engie** and **Iberdrola**).

Figure 36: European Integrated Utility Renewable Exposures



Source: Company reports, J.P. Morgan, as of Dec'25 or most recently available date

Sustainable debt

Sovereign GSS bond club swells to 65 members

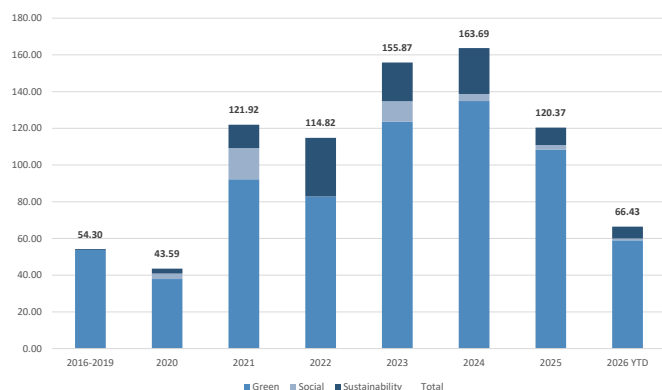
Cumulative sovereign GSS issuance reached USD 843.48 bn at the end of May 2026. Green bonds account for the largest share (82%) of the market, followed by sustainability bonds (13%) and social bonds (5%). Year-to-date, sovereign GSS issuance has totaled USD 66.43 bn, putting the market on track to eclipse last year's total issuance (USD 120.37 bn) but fall short of the issuance record set in 2024 (USD 163.69 bn).

2026 YTD volumes reflect 48 issues from 18 sovereign issuers, mostly from Europe (9 countries), followed by Asia-Pacific (6) and one issuer each from Latin America, North America, and the Middle East and Africa. Reflecting the broader sovereign issuance trends highlighted in Figure 37, the majority of 2026 YTD sovereign issuance has been green bonds (89%), with the sole issuer of sustainability bonds being Mexico with a three-part deal in January (EUR 4.75 bn) and a two-part deal in May (MXN 8 bn). Egypt was the sole sovereign issuer of social bonds, placing USD 1 bn in May.

The sovereign GSS Bond club membership continues to grow, with 65 countries issuing GSS bonds through the end of May 2026, of which 37 are EM countries. Since last year's publication, notable additions to the club include China (CNY 6 bn across two green bonds in April 2025), Pakistan (PKR 32 bn green bond in May 2025), and Taiwan (TWD 400 mn green bond in January 2026). Regionally, European sovereigns issue the most GSS bonds, reaching a cumulative volume of USD 579.2 bn. In 2025, Europe issued USD 90.5 bn in sovereign GSS bonds (75% of global issuance), of which 99% were green bonds (by issued notional). The largest contributions came from Germany (USD 17.3 bn), Austria (USD 17.1 bn), and the UK (USD 14.7 bn).

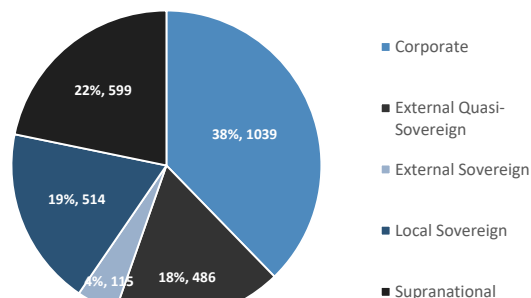
The J.P. Morgan Green, Social and Sustainability Bond Index (GESSIE) is designed to track labeled bonds issued with proceeds dedicated to green and/or social activities, assets, projects, or expenditures. The index provides a comprehensive measure of the global labeled bond market across various asset classes and credit sectors. SLB instruments are not eligible for J.P. Morgan's suite of labeled bond benchmarks at this time, however this remains under review. Figure 38 shows the breakdown of the J.P. Morgan Green, Social and Sustainability Bond Index (GESSIE). The lion's share of the index is issued by corporates (38%), followed by Supranationals (22%) and Local Sovereign (19%). The majority of issuance is green (64%), followed by sustainability (21%) and social (14%). Table 15 showcases the performance of the GESSIE broken down by label, sector and region.

Figure 37: Historical Sovereign GSS Issuance (USD bn)



Source: J.P. Morgan, 29 May 2026.

Figure 38: Market Capitalization of the J.P. Morgan GESSIE (USD bn)



Source: J.P. Morgan, 29 May 2026.

Table 15: J.P. Morgan GESSIE Performance

Index	Total Returns (%)			Yield to Worst			Spread To Worst (bps)			
	1W Return	MTD Return	YTD Return	Current	1W Change	YTD Change	Current	1W Change	YTD Change	Market Value Weight in (%)
GSS	1.12	0.48	0.31	3.96	-0.12	0.13	74	-2	-5	
Green	1.25	0.57	0.33	3.88	-0.12	0.07	83	-2	-5	64
Social	1.03	0.28	0.26	3.68	-0.11	0.19	53	-2	-7	14
Sustainable	0.78	0.32	0.26	4.42	-0.11	0.33	62	0	-4	21
By Sector										
External Quasi-Sovereign	1.05	0.26	0.23	3.58	-0.11	0.15	60	-2	-7	18
Sovereign	1.58	0.96	0.27	3.87	-0.15	0.08	103	-4	-4	23
Supranational	0.98	0.23	0.40	3.62	-0.09	0.12	34	-1	-6	22
Corporate	0.96	0.43	0.32	4.51	-0.12	0.19	107	-2	-5	38
By Region										
Asia	0.88	0.44	0.49	3.72	-0.10	0.12	71	0	-5	9
Eastern Europe	1.03	0.42	1.52	4.82	-0.14	0.03	167	-5	-20	2
Latin America	1.11	1.03	-0.25	5.60	-0.12	0.17	129	-2	-15	4
Middle East and Africa	0.65	0.36	0.25	5.32	-0.14	0.43	119	-2	9	3
North America	0.74	0.25	0.72	4.37	-0.09	0.15	48	1	-9	17
Western Europe	1.28	0.51	0.16	3.74	-0.12	0.11	73	-3	-3	65

Source: J.P. Morgan, 29 May 2026.

Issuance trends in corporate credit

Sustainable Euro IG issuance has remained relatively stable thus far in 2026, while EUR HY and GBP IG GSS+ issuance has clearly lagged

YTD, Euro GSS+ issuance has tracked slightly higher as a proportion of the overall market, following the gradual decline seen over 2022-2025 (22% of EUR IG paper issued YTD vs. 18% to the equivalent point in 2025 and 21% in FY25). However, in the GBP IG market, GSS issuance has continued its steep decline, representing about 8% of YTD total issuance, compared to 17% and 30% in 2025 and 2024, respectively. GSS representation has also shrunk in Euro high yield (Figure 43), where GSS+ issuance has almost halved as a proportion of the total (7% YTD in 2026 vs. 13% in 2025).

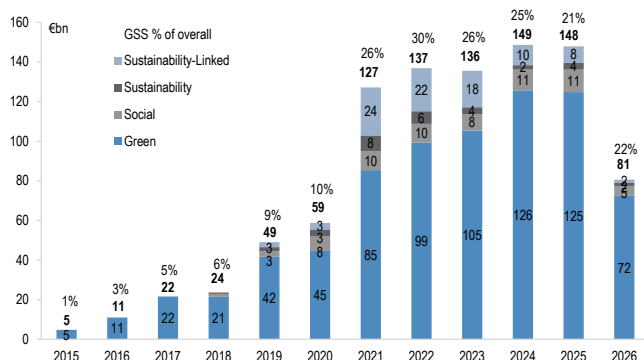
Green bonds remain the dominant component of GSS+ issuance, making up 90% of EUR IG GSS+ paper issued YTD (an increase from 84% in 2025 and 2024), while sustainability-linked bonds have shrunk further, representing just 2% of YTD GSS+ issuance (down from 6% in 2025 and 7% in 2024).

GSS issuance technicals have fluctuated YTD, with an average NIP disadvantage of c. +0.3bp YTD (GSS new issue premium (NIP) compared to non-GSS NIP - see Figure 41), compared to a -0.2bp advantage on an LTM basis (through May'26) and a -2.0bp advantage in 2025. Book coverage ratios have continued to exceed those for vanilla paper through the year (Figure 42).

USD GSS+ bond issuance remains marginal (<1% of total USD IG primary).

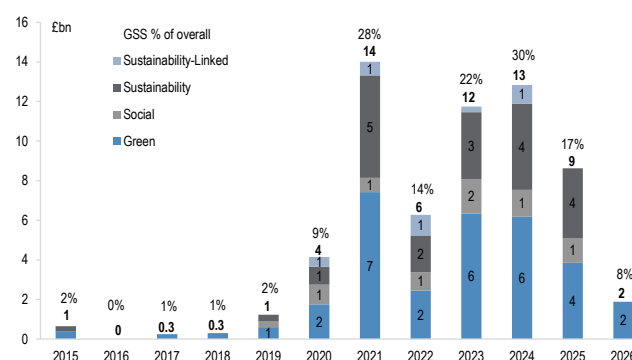
Going forward, we expect the share of EUR GSS+ issuance to be flat or slightly down on FY25: while GSS issuance is tracking slightly ahead YTD, we note that this has been heavily weighted by issuance from Financials, with the pace now likely to slow in H2.

Figure 39: EUR IG GSS+ Issuance



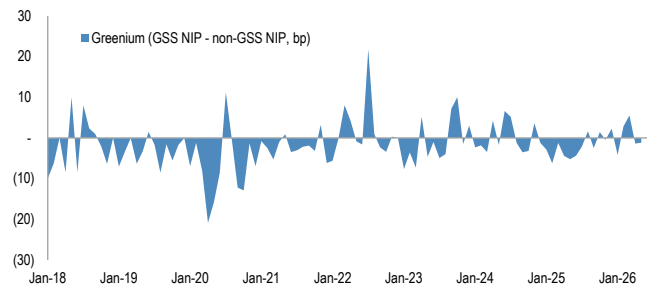
Source: J.P. Morgan, Data as of 1-Jun 2026

Figure 40: GBP IG GSS+ Issuance



Source: J.P. Morgan, Data as of 1-Jun 2026

Figure 41: EUR IG NIP Differential - GSS vs. non-GSS



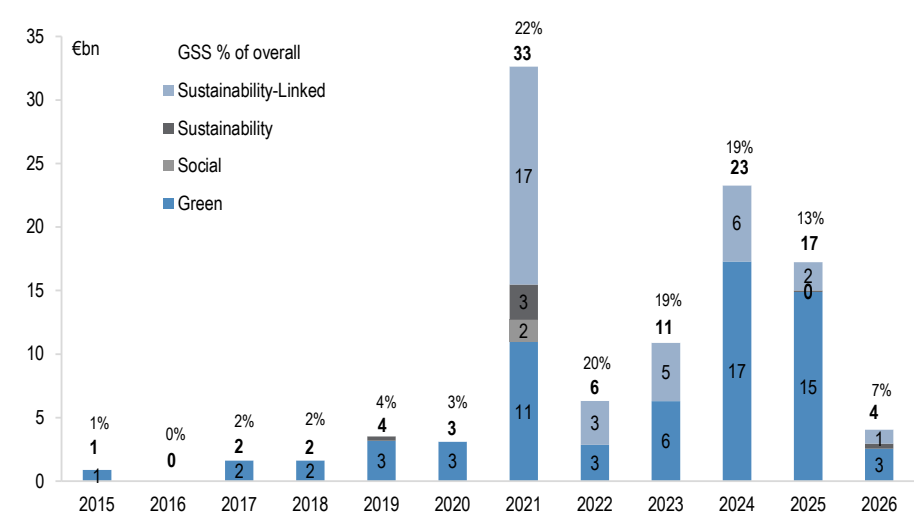
Source: J.P. Morgan, Data as of 1-Jun 2026

Figure 42: Primary Book Coverage Ratios: GSS vs. non-GSS



Source: J.P. Morgan, Data as of 1-Jun 2026

Figure 43: EUR HY GSS+ Issuance



Source: J.P. Morgan, Data as of 1-Jun 2026

Global Index

The JSTAR Index Governance - introduced in 2023 - has paved the way for key enhancements to the flagship JSTAR index suite, including more robust data inputs and reduced turnover. This iterative feedback process with our clients informs the continuous improvement of our sustainable index suite, with the last set of meetings announcing the rebrand of the J.P. Morgan Screened Tilted and Reweighted (JSTAR) suite from its previous name of J.P. Morgan ESG (JESG). Additionally, the most recent governance cycle covered the migration of ESG data from Sustainalytics' legacy products to Sustainalytics' current products for both corporate and sovereign issuers.

Since the JSTAR suite was launched in 2018, the Index team has included sustainable index topics within its annual client governance meetings. However, as both the focus on sustainable investing and benchmarked AuM against the JSTAR Index family continues to grow, the need to engage clients more regularly and with more granularity developed. As a result, in 2023, the Sustainable Index team began engaging with clients via stand-alone JSTAR Index Forums, held on a more regular basis.

With this new engagement model, the team has been able to implement a number of key enhancements to the JSTAR Index methodology ([link](#)). The table below highlights the methodological changes that have been made throughout the past year.

Table 16: Takeaways from JSTAR Index Governance

Effective Date	Summary	Methodological Changes
Mar-26	JESG Index Suite Renamed to JSTAR	The J.P. Morgan ESG (JESG) Index suite was renamed to the J.P. Morgan Screened, Tilted, and Reweighted (JSTAR) Index Suite. We decided to implement a name change to the JESG indices, in response to new fund naming regulations in the UK and EU and to achieve consistency between the naming of indices and the funds that track them.
Jan-26	JSTAR Methodology Migrated to Sustainalytics Risk Ratings	The JSTAR index methodology migrated to the Sustainalytics Risk Ratings at the January 30th, 2026, rebalance. The transition within the JSTAR scoring methodology decommissioned the use of the legacy Sustainalytics ESG Rating and Country Risk Monitor (CRM) scores as inputs. The October 2025 rebalance was the last index rebalance to use the legacy Sustainalytics scores.
Aug-25	No Change to Exclusionary Screening Applied Within JSTAR	There will be no change to the exclusionary screening applied to the JSTAR index suite at this time. The proposal to review the exclusion of issuers exposed to military contracting or small arms sales to military/police was not supported by most investors. The JSTAR indices will continue to exclude issuers with revenue derived from thermal coal, oil sands, weapons, and tobacco, as well as those flagged as UNGC non-compliant by Sustainalytics, pursuant to the field definitions outlined in the index methodology document.

Source: J.P. Morgan Index Research.

The JSTAR suite was last expanded in 2024 with the launch of the JSTAR Asia Pacific Credit Index (JSTAR JACI APAC). The JSTAR product offering now includes thirteen flagship benchmarks, covering emerging and developed markets across corporate, quasi-sovereign, sovereign, and supranational issuance. In the coming months, the Index team plans to further grow the JSTAR suite to cover the Euro Emerging Markets Bond Index Global (EURO EMBIG), Government Bond Index (GBI Broad), and Economic and Monetary Union (EMU) Index universes.

The next JSTAR Forum will be held later this year and cover several agenda topics, including an update on RepRisk's enhanced issuer mapping proposal, index substitutions within the Verisk Maplecroft ESG Rating, index treatment of uncovered issuers, and proposals for new sustainable index products.

The J.P. Morgan Fixed Income Sustainability Index suite

J.P. Morgan's comprehensive suite of Fixed Income Sustainability Indices is divided into three distinct families, each tailored to address specific investment goals and sustainability criteria. These diverse methodologies assess and rank companies or issuers differently, allowing investors to select indices that reflect their ESG priorities.

First, the flagship **JSTAR Index Suite** ([link](#)), launched in 2018, sets the standard for fixed income ESG investing in emerging markets. This pioneering family of indices integrates multiple ESG best practices, including industry-standard exclusionary screening, while maintaining alignment with the asset class profile. The JSTAR indices are designed to empower investors to make informed decisions that align with their sustainability values.

The second family, our **sustainable debt suite**, is designed to guide investors through the burgeoning market of green, social and sustainability bonds. These indices ensure that capital is directed towards impactful projects that drive positive change, providing a clear pathway for investors committed to sustainable finance and impact investing.

Completing our suite are the **J.P. Morgan Paris-Aligned (PAB) and Climate Transition (CTB) Benchmarks** ([link](#)). These indices represent our most rigorous sustainability offering, adhering to the European Commission's Delegated Act's minimum technical requirements. While both benchmarks pursue similar sustainability objectives, they differ in their level of ambition and focus, providing investors with options that align with their specific climate goals. The first JPM PAB and JPM CTB Indices are available for the flagship J.P. Morgan Corporate Emerging Markets Bond Index (CEMBI) (see the J.P. Morgan Paris-Aligned CEMBI Broad Diversified Index [Factsheet](#) and the J.P. Morgan Climate-Transition CEMBI Broad Diversified Index [Factsheet](#)). The Parent Index for these benchmarks is the CEMBI Broad Diversified.

Appendix 1: sustainability calendar

Table 17: Key events for sustainable investors in the next twelve months

Event	Date	Significance
2026		
London Climate Action Week	Jun 20-28	Large city-wide climate event in Europe
UNEP FI Global Roundtable	Jun 22-26	Biennial sustainable finance event organized by UN Environment Program
US SIF Forum	Jun 24-26	Sustainability gathering for leaders across the capital markets ecosystem
UNFCCC Climate Week 4	Sep 7-11	Regional UN climate dialogue focused on accelerating the climate transition through country-specific strategies
NY Climate Week	Sep 20-27	Largest annual climate event bringing together business leaders, policy makers, and civil society
PRI in Person	Oct 13-15	Largest annual responsible investing event globally
Biodiversity COP	Oct 19-30	Biennial international biodiversity negotiations
US Midterm Elections	Nov 3	Shapes the balance of power in the House and Senate and could impact future US climate policy
Climate COP	Nov 9-20	Annual international climate negotiations
UN Water Conference	Dec 2-6	International meeting on achieving SDG 6 (ensure availability and sustainable management of water and sanitation for all)
2027		
World Economic Forum (WEF) Annual Meeting	Jan 18-22	Global agenda-setting forum convening leaders from government, business and civil society
San Francisco (SF) Climate Week	Apr 17-25	West Coast climate technology event promoting collaboration on clean energy innovation, battery scaling and commercialization

Source: J.P. Morgan

Appendix 2: stock pricing information

Figure 44: Stock pricing information (I)

Name	Ticker	Sector	Country	Region	Analyst	CCY	Price	PT	Upside	PT end date	Reco
Novonesis	NSISB DC	Specialty Chemicals	Denmark	Europe	Chetan Udeshi, CFA	DKK	380	500	31.6	Dec-27	OW
International Flavors & Frag	IFF US	Specialty Chemicals	United States	North America	Jeffrey J. Zekauskas	USD	78.36	92	17.4	Dec-26	OW
Croda	CRDA LN	Specialty Chemicals	United Kingdom	Europe	Chetan Udeshi, CFA	GBP	3074	4000	30.1	Dec-27	OW
Smurfit WestRock (LN)	SWR LN	Paper & Plastic Packaging Products & Materials	Ireland	Europe	Detlef Winckelmann	GBP	3314	4600	38.8	Dec-27	OW
Dexco	DXCO3 BZ	Forest Products	Brazil	Latin America	Rodolfo Angele, CFA	BRL	4.8	8.5	77.1	Dec-26	OW
Suzano SA	SUZB3 BZ	Paper Products	Brazil	Latin America	Rodolfo Angele, CFA	BRL	42.93	68	58.4	Dec-26	OW
Nutrien	NTR US	Fertilizers & Agricultural Chemicals	Canada	North America	Jeffrey J. Zekauskas	USD	66.13	80	21	Dec-26	OW
Mahindra & Mahindra	MM IN	Automobile Manufacturers	India	Asia Ex	Amyn Pirani	INR	3137.9	4135	31.8	Mar-27	OW
AGCO Corp.	AGCO US	Agricultural & Farm Machinery	United States	North America	Tami Zakaria, CFA	USD	112.54	143	27.1	Dec-26	OW
Darling Ingredients Inc.	DAR US	Agricultural Products & Services	United States	North America	Thomas Palmer, CFA	USD	56.12	79	40.8	Dec-26	OW
Danone	BN FP	Packaged Foods & Meats	France	Europe	Celine Pannuti, CFA	EUR	66.2	90	36	Dec-27	OW
PepsiCo	PEP US	Soft Drinks & Non-alcoholic Beverages	United States	North America	Andrea Teixeira, CFA	USD	146.25	178	21.7	Dec-26	OW
Verisk Analytics	VRSK US	Research & Consulting Services	United States	North America	Andrew C. Steiner	USD	180.46	230	27.5	Dec-26	OW
Neurocrine Biosciences	NBIX US	Biotechnology	United States	North America	Anupam Rama	USD	159.51	185	16	Dec-26	OW
Coway	021240 KS	Household Appliances	South Korea	Asia Ex	Jihyun Cho	KRW	91700	130000	41.8	Jun-27	OW
Empower	EMPOWER UH	Water Utilities	United Arab Emirates	CEEMEA	Anna Antonova, CFA	AED	1.65	2.14	29.7	Dec-27	OW
CALB	3931 HK	Automotive Parts & Equipment	China	Asia Ex	Rebecca Wen	HKD	27.24	40	46.8	Jun-27	OW
Sungrow - A	300274 CH	Electrical Components & Equipment	China	Asia Ex	Alan Hon	CNY	152.49	212	39	Dec-26	OW
CATL - A	300750 CH	Electrical Components & Equipment	China	Asia Ex	Rebecca Wen	CNY	403.53	520	28.9	Dec-26	OW
Bloom Energy	BE US	Heavy Electrical Equipment	United States	North America	Mark Strouse, CFA	USD	274.5	267	-2.7	Dec-26	OW
Sunrun Inc.	RUN US	Electrical Components & Equipment	United States	North America	Mark Strouse, CFA	USD	12.47	22	76.4	Dec-26	OW
Brookfield Renewable Part	BEP US	Renewable Electricity	United States	North America	Mark Strouse, CFA	USD	34.63	40	15.5	Dec-26	OW
Midea Group - A	000333 CH	Household Appliances	China	Asia Ex	DS Kim	CNY	78.96	105	33	Jun-27	OW
Haier Smart Home Co Ltd.	6690 HK	Household Appliances	China	Asia Ex	DS Kim	HKD	21.26	25	17.6	Jun-27	OW
Sunonwealth	2421 TT	Industrial Machinery & Supplies & Components	Taiwan, China	Asia Ex	Jerry Tsai	TWD	142.5	214	50.2	Jun-26	OW
Asia Vital Components	3017 TT	Technology Hardware, Storage & Peripherals	Taiwan, China	Asia Ex	William Yang	TWD	2370	3200	35	Dec-26	OW
Nien Made	8464 TT	Home Furnishings	Taiwan, China	Asia Ex	Gokul Hariharan	TWD	351	550	56.7	Dec-26	OW
Rockwool	ROCKB DC	Building Products	Denmark	Europe	Zaim Beekawa	DKK	215	250	16.3	Dec-27	OW
Saint-Gobain	SGO FP	Building Products	France	Europe	Elodie Rall	EUR	78.5	100	27.4	Dec-27	OW
Nitto (3110)	3110 JP	Building Products	Japan	Japan	Mio Shikanai	JPY	21690	29000	33.7	Dec-26	OW
Chicony Power Technology	6412 TT	Electrical Components & Equipment	Taiwan, China	Asia Ex	Jerry Tsai	TWD	91.6	111	21.2	Dec-26	OW
James Hardie Industries Pl	JHX AU	Construction Materials	Australia	Australia	Lee Power	AUD	35.31	38	7.6	May-27	OW
Ferrovial	FER SM	Construction & Engineering	Spain	Europe	Elodie Rall	EUR	59.86	65	8.6	Dec-27	OW
CRH Plc	CRH US	Construction Materials	Ireland	Latin America	Adrian E Huerta	USD	109.59	140	27.7	Dec-26	OW
Holcim Ltd	HOLN SV	Construction Materials	Switzerland	Europe	Elodie Rall	CHF	75.92	84	10.6	Dec-27	OW
Heidelberg Materials	HEI GR	Construction Materials	Germany	Europe	Elodie Rall	EUR	183.1	250	36.5	Dec-27	OW
Cemex	CK US	Construction Materials	Mexico	Latin America	Adrian E Huerta	USD	12.89	14.5	12.5	Dec-26	OW
Iron Mountain	IRM US	Other Specialized REITs	United States	North America	Andrew C. Steiner	USD	126.28	138	9.3	Dec-26	OW
Xuji Electric - A	000400 CH	Heavy Electrical Equipment	China	Asia Ex	Stephen Tsui, CFA	CNY	23.06	33	43.1	Dec-26	OW
Nari Technology - A	600406 CH	Heavy Electrical Equipment	China	Asia Ex	Stephen Tsui, CFA	CNY	23.54	30	27.4	Dec-26	OW
Siemens Energy	ENR GR	Heavy Electrical Equipment	Germany	Europe	Phil Buller	EUR	155.58	225	44.6	Jun-27	OW
Itron	ITRI US	Electronic Equipment & Instruments	United States	North America	Mark Strouse, CFA	USD	80.71	112	38.8	Dec-26	OW
Chroma ATE	2360 TT	Electronic Equipment & Instruments	Taiwan, China	Asia Ex	Jerry Tsai	TWD	2325	3000	29	Dec-26	OW
Generac	GNRC US	Electrical Components & Equipment	United States	North America	Mark Strouse, CFA	USD	270.1	267	-1.1	Dec-26	OW
ICICI Lombard General Ins	ICIGI IN	Property & Casualty Insurance	India	Asia Ex	Madhukar Ladha	INR	1783.6	2170	21.7	Mar-27	OW
LPI Capital	LPI MK	Property & Casualty Insurance	Malaysia	Asia Ex	MW Kim	MYR	15.18	20	31.8	Dec-26	OW
General Insurance Corp of	GICRE IN	Reinsurance	India	Asia Ex	Madhukar Ladha	INR	358.4	500	39.5	Mar-27	OW
QBE Insurance Group	QBE AU	Property & Casualty Insurance	Australia	Australia	Siddharth Parameswaran	AUD	23.47	24	2.3	Dec-26	OW
Tokio Marine Holdings (87)	8766 JP	Property & Casualty Insurance	Japan	Japan	Koki Sato	JPY	7288	7700	5.7	Dec-26	OW
IRB Brasil Re	IRBR3 BZ	Reinsurance	Brazil	Latin America	Guilherme Grespan	BRL	51.7	62	19.9	Dec-26	OW
Palomar	PLMR US	Property & Casualty Insurance	United States	North America	Pablo S. Singzon	USD	113.01	150	32.7	Dec-26	OW
Springer Nature	SPG GR	Publishing	Germany	Europe	Daniel Kerven	EUR	18.2	31	70.3	Dec-27	OW
RELX PLC	REL LN	Research & Consulting Services	United Kingdom	Europe	Daniel Kerven	GBP	2420	5070	109.5	Dec-27	OW
DEWA	DEWA UH	Multi-Utilities	United Arab Emirates	CEEMEA	Anna Antonova, CFA	AED	2.75	3.3	20	Dec-27	OW
Rotork	ROR LN	Industrial Machinery & Supplies & Components	United Kingdom	Europe	Chitrita C Sinha	GBP	312.4	390	24.8	Jun-27	OW
Toray (3402)	3402 JP	Commodity Chemicals	Japan	Japan	Yasuhiro Nakada	JPY	1177	1360	15.5	Dec-26	OW
Genuit Group	GEN LN	Building Products	United Kingdom	Europe	Chitrita C Sinha	GBP	271.2	440	62.2	Jun-27	OW
Elis	ELIS FP	Diversified Support Services	France	Europe	Jane L Sparrow	EUR	26.74	28.3	5.8	Dec-27	OW
Metso Corporation	METSO FH	Construction Machinery & Heavy Transportation Equipm	Finland	Europe	Chitrita C Sinha	EUR	15.66	17.5	11.7	Jun-27	OW
Ecolab Inc.	ECL US	Specialty Chemicals	United States	North America	Jeffrey J. Zekauskas	USD	268.58	295	9.8	Dec-26	OW
CK Infrastructure	1038 HK	Electric Utilities	Hong Kong SAR, Ch	Asia Ex	Stephen Tsui, CFA	HKD	59.2	69	16.6	Dec-26	OW
Sabesp	SBSP3 BZ	Water Utilities	Brazil	Latin America	Arthur Pereira, CFA	BRL	27.95	40	43.1	Dec-26	OW
Copasa	CSMP3 BZ	Water Utilities	Brazil	Latin America	Arthur Pereira, CFA	BRL	56.54	66	16.7	Dec-26	OW
LG Energy Solution	373220 KS	Electrical Components & Equipment	South Korea	Asia Ex	Parsley Ong	KRW	411000	530000	29	Dec-26	OW
Simple Technology Co Ltd	6121 TT	Electronic Components	Taiwan, China	Asia Ex	William Yang	TWD	421	420	-0.2	Dec-26	OW
Samsung SDI	006400 KS	Electronic Components	South Korea	Asia Ex	Sonny Lee	KRW	550000	770000	40	Dec-26	OW
Wuxi Lead - A	300450 CH	Industrial Machinery & Supplies & Components	China	Asia Ex	Rebecca Wen	CNY	49.4	62	25.5	Jun-27	OW
LG Chem Ltd	051910 KS	Commodity Chemicals	South Korea	Asia Ex	Parsley Ong	KRW	369000	460000	24.7	Dec-27	OW
TDK (6762)	6762 JP	Electronic Components	Japan	Japan	Akinori Kanemoto	JPY	3802	5500	44.7	Dec-26	OW
L&F	066970 KS	Electrical Components & Equipment	South Korea	Asia Ex	Sonny Lee	KRW	142100	290000	104.1	Dec-26	OW
Umicore	UMI BB	Specialty Chemicals	Belgium	Europe	Chetan Udeshi, CFA	EUR	24	26	8.3	Dec-27	OW
Putalai	603659 CH	Specialty Chemicals	China	Asia Ex	Rebecca Wen	CNY	29.68	42	41.5	Jun-27	OW
Vale Indonesia	INCO IJ	Diversified Metals & Mining	Indonesia	Asia Ex	Benny Kurniawan, CFA	IDR	5075	9000	77.3	Jun-27	OW
PLS Group	PLS AU	Diversified Metals & Mining	Australia	Australia	Lyndon Fagan	AUD	6.19	7.5	21.2	Dec-26	OW
Merdeka Copper Gold	MDKA IJ	Diversified Metals & Mining	Indonesia	Asia Ex	Benny Kurniawan, CFA	IDR	2740	4030	47.1	Jun-27	OW
Aneka Tambang	ANTM IJ	Gold	Indonesia	Asia Ex	Benny Kurniawan, CFA	IDR	3130	4700	50.2	Jun-27	OW
Vale	VALE3 BZ	Steel	Brazil	Latin America	Rodolfo Angele, CFA	BRL	81.5	109	33.7	Dec-26	OW

Source: J.P. Morgan Research. Pricing as of COB 17th June 2026

Figure 45: Stock pricing information (II)

Name	Ticker	Sector	Country	Region	Analyst	CCY	Price	PT	Upside	PT end date	Reco
KEI Industries Limited	KEII IN	Electrical Components & Equipment	India	Asia Ex	Rishabh Gupta	INR	5386.5	5700	5.8	Mar-27	OW
Polycab India Limited	POLYCAB IN	Electrical Components & Equipment	India	Asia Ex	Rishabh Gupta	INR	9591.5	10250	6.9	Mar-27	OW
Orient Cables - A	603606 CH	Electrical Components & Equipment	China	Asia Ex	Alan Hon	CNY	40.82	61	49.4	Jun-27	OW
Prismian	PRY IM	Electrical Components & Equipment	Italy	Europe	Akash Gupta	EUR	146.35	172	17.5	Jun-27	OW
Rolls-Royce	RR/ LN	Aerospace & Defense	United Kingdom	Europe	David H Perry, CFA	GBP	1393	1500	7.7	Dec-27	OW
Vibra Energia SA	VBBR3 BZ	Automotive Retail	Brazil	Latin America	Rodolfo Angele, CFA	BRL	27.92	40	43.3	Dec-26	OW
CATL - H	3750 HK	Electrical Components & Equipment	ng Kong SAR, Ch	Asia Ex	Rebecca Wen	HKD	716	725	1.3	Dec-26	OW
Caterpillar Inc.	CAT US	nstruction Machinery & Heavy Transportation Equipm	United States	North America	Tami Zakaria, CFA	USD	933.93	1125	20.5	Dec-26	OW
United Rentals, Inc.	URI US	Trading Companies & Distributors	United States	North America	Tami Zakaria, CFA	USD	1084.01	1050	-3.1	Dec-26	OW
Quanta Services	PWR US	Construction & Engineering	United States	North America	Mark Strouse, CFA	USD	724.35	805	11.1	Dec-26	OW
Hyosung Heavy Industries	298040 KS	Heavy Electrical Equipment	South Korea	Asia Ex	Stephen Tsui, CFA	KRW	3870000	3900000	0.8	Dec-26	OW
Legrand	LR FP	Electrical Components & Equipment	France	Europe	Phil Buller	EUR	138.7	180	29.8	Jun-27	OW
Hitachi (6501)	6501 JP	Industrial Conglomerates	Japan	Japan	Junya Ayada	JPY	4747	5700	20.1	Dec-26	OW
Qingdao TGOOD Electric	300001 CH	Electrical Components & Equipment	China	Asia Ex	Stephen Tsui, CFA	CNY	39.01	35	-10.3	Dec-26	OW
Schneider Electric	SU FP	Electrical Components & Equipment	France	Europe	Phil Buller	EUR	276.95	325	17.3	Jun-27	OW
Samsung C&T	028260 KS	Industrial Conglomerates	South Korea	Asia Ex	Jay Kwon	KRW	493000	570000	15.6	Dec-26	OW
Valmont Industries	VMI US	Construction & Engineering	United States	North America	Tomohiko Sano	USD	540.62	520	-3.8	Dec-26	OW
SPIE	SPIE FP	Diversified Support Services	France	Europe	Jane L Sparrow	EUR	49.92	56	12.2	Dec-27	OW
GE Vernova	GEV US	Heavy Electrical Equipment	United States	North America	Mark Strouse, CFA	USD	979.07	1302	33	Dec-26	OW
MasTec	MTZ US	Construction & Engineering	United States	North America	Mark Strouse, CFA	USD	371.85	491	32	Dec-26	OW
Mitsubishi Electric (6503)	6503 JP	Heavy Electrical Equipment	Japan	Japan	Junya Ayada	JPY	5872	6500	10.7	Dec-26	OW
Infineon Technologies	IFX GR	Semiconductors	Germany	Europe	Sandeep Deshpande	EUR	78.97	74	-6.3	Dec-27	OW
Siemens	SIE GR	Industrial Conglomerates	Germany	Europe	Phil Buller	EUR	272.15	335	23.1	Jun-27	OW
Hanwha Solutions Corp	009830 KS	Commodity Chemicals	South Korea	Asia Ex	Parsley Ong	KRW	42150	60000	42.3	Jun-27	OW
Premier Energies	PREMIERE IN	Semiconductors	India	Asia Ex	Sanjay Mookim	INR	1055.3	1095	3.8	Mar-27	OW
HD Hyundai Electric	267260 KS	Heavy Electrical Equipment	South Korea	Asia Ex	Stephen Tsui, CFA	KRW	1115000	1315000	17.9	Dec-26	OW
CG Power Ltd	CGPOWER IN	Electrical Components & Equipment	India	Asia Ex	Atul Tiwari	INR	940.7	930	-1.1	Mar-28	OW
Isa Energia	ISAE4 BZ	Electric Utilities	Brazil	Latin America	Arthur Pereira, CFA	BRL	27.64	30	8.5	Dec-26	OW
Etergy Corp.	ETR US	Electric Utilities	United States	North America	Jeremy Tonet, CFA	USD	111.08	129	16.1	Dec-26	OW
Equatorial	EQT3 BZ	Electric Utilities	Brazil	Latin America	Arthur Pereira, CFA	BRL	37.48	51	36.1	Dec-26	OW
Power Grid Ltd	PWGR IN	Electric Utilities	India	Asia Ex	Atul Tiwari	INR	285.15	345	21	Mar-28	OW
National Grid	NG/ LN	Multi-Utilities	United Kingdom	Europe	Pavan Mahbubani, CFA	GBP	1224	1440	17.6	Mar-28	OW
Energisa	ENGI11 BZ	Electric Utilities	Brazil	Latin America	Arthur Pereira, CFA	BRL	46.18	63	36.4	Dec-26	OW
Alupar	ALUP11 BZ	Electric Utilities	Brazil	Latin America	Arthur Pereira, CFA	BRL	31.95	41	28.3	Dec-26	OW
XEL Energy	XEL US	Electric Utilities	United States	North America	Jeremy Tonet, CFA	USD	79.35	91	14.7	Dec-26	OW
E.ON	EOAN GR	Multi-Utilities	Germany	Europe	Pavan Mahbubani, CFA	EUR	18.16	21.7	19.5	Dec-27	OW
Copel	CPLE3 BZ	Electric Utilities	Brazil	Latin America	Arthur Pereira, CFA	BRL	14.54	18	23.8	Dec-26	OW
CMS Energy Corporation	SSE LN	Multi-Utilities	United States	North America	Jeremy Tonet, CFA	USD	73.65	82	11.3	Dec-26	OW
SSE Plc	SSE LN	Electric Utilities	United Kingdom	Europe	Pavan Mahbubani, CFA	GBP	2358	2925	24	Mar-28	OW
Manila Electric Company	MER PM	Electric Utilities	Philippines	Asia Ex	Jelline Gaza, CFA	PHP	583	760	30.4	Jun-27	OW
PPL Corporation	PPL US	Electric Utilities	United States	North America	Jeremy Tonet, CFA	USD	36.17	42	16.1	Dec-26	OW
Larsen & Toubro Ltd.	LT IN	Construction & Engineering	India	Asia Ex	Atul Tiwari	INR	4185.7	5060	20.9	Sep-27	OW
NiSource Inc.	NI US	Multi-Utilities	United States	North America	Eli Jossen, CFA	USD	47.47	52	9.5	Dec-26	OW
Axia ON	AXIA3 BZ	Electric Utilities	Brazil	Latin America	Arthur Pereira, CFA	BRL	53.08	64.5	21.5	Dec-26	OW
Ameren Corporation	AEE US	Multi-Utilities	United States	North America	Jeremy Tonet, CFA	USD	109.57	126	15	Dec-26	OW
PPC Group	PPC GA	Electric Utilities	Greece	CEEMEA	Anna Antonova, CFA	EUR	22.74	25	9.9	Dec-27	OW
ENEL	ENEL IM	Electric Utilities	Italy	Europe	Javier Garrido	EUR	9.94	10.4	4.7	Dec-27	OW
Tenaga	TNB MK	Electric Utilities	Malaysia	Asia Ex	Samuel Tan	MYR	14.56	15.2	4.4	Dec-26	OW
Power Assets	6 HK	Electric Utilities	ng Kong SAR, Ch	Asia Ex	Stephen Tsui, CFA	HKD	56.9	65	14.2	Dec-26	OW
PG&E Corp.	PCG US	Electric Utilities	United States	North America	Aidan C Kelly	USD	16.58	23	38.7	Dec-26	OW
First Solar, Inc	FSLR US	Semiconductors	United States	North America	Mark Strouse, CFA	USD	273.51	256	-6.4	Dec-26	OW
SOLV Energy	MWH US	Construction & Engineering	United States	North America	Mark Strouse, CFA	USD	32.18	51	58.5	Dec-26	OW
Nextpower	NXT US	Electrical Components & Equipment	United States	North America	Mark Strouse, CFA	USD	125.83	174	38.3	Dec-26	OW
Fervo	FRVO US	Renewable Electricity	United States	North America	Mark Strouse, CFA	USD	35.32	47	33.1	Dec-27	OW
Delivery Hero SE	DHER GR	Restaurants	Germany	Europe	Marcus Diebel	EUR	38.03	28	-26.4	Dec-27	OW
Leonardo	LDO IM	Aerospace & Defense	Italy	Europe	David H Perry, CFA	EUR	51.7	70	35.4	Dec-27	OW
Marston's	MARS LN	Restaurants	United Kingdom	Europe	Karan Puri	GBP	49.05	81	65.1	Dec-27	OW
UMG	UMG NA	Movies & Entertainment	Netherlands	Europe	Daniel Kerven	EUR	18.18	48.1	164.6	May-28	OW
Workspace	WKP LN	Office REITs	United Kingdom	Europe	Neil Green, CFA	GBP	346.2	410	18.4	Dec-27	OW
Renault	RNO FP	Automobile Manufacturers	France	Europe	Jose M Asumendi	EUR	27.82	45	61.8	Jun-27	OW
Mercedes-Benz Group AG	MBG GR	Automobile Manufacturers	Germany	Europe	Jose M Asumendi	EUR	47.88	70	46.2	Jun-27	OW
BMW	BMW GR	Automobile Manufacturers	Germany	Europe	Jose M Asumendi	EUR	64.08	100	56.1	Dec-27	OW
Atlas Copco	ATCOA SS	Industrial Machinery & Supplies & Components	Sweden	Europe	Phil Buller	SEK	192.7	220	14.2	Jun-27	OW
IMI	IMI LN	Industrial Machinery & Supplies & Components	United Kingdom	Europe	Chitrita C Sinha	GBP	2986	3050	2.1	Jun-27	OW
Rexel	RXL FP	Trading Companies & Distributors	France	Europe	Akash Gupta	EUR	37.25	41.8	12.2	Jun-27	OW
Alstom	ALO FP	nstruction Machinery & Heavy Transportation Equipm	France	Europe	Akash Gupta	EUR	16.04	27	68.3	Jun-27	OW
Engie	ENGI FP	Multi-Utilities	France	Europe	Javier Garrido	EUR	26.9	32	19	Dec-27	OW
Bouygues	EN FP	Construction & Engineering	France	Europe	Akhil Dattani	EUR	50.52	73	44.5	Dec-27	OW
Babcock International	BAB LN	Aerospace & Defense	United Kingdom	Europe	David H Perry, CFA	GBP	1042	1500	44	Dec-27	OW
Centrica	CNA LN	Multi-Utilities	United Kingdom	Europe	Pavan Mahbubani, CFA	GBP	181.65	235	29.4	Dec-27	OW
RWE	RWE GR	Independent Power Producers & Energy Traders	Germany	Europe	Pavan Mahbubani, CFA	EUR	54.66	65	18.9	Dec-27	OW
Andritz	ANDR AV	Industrial Machinery & Supplies & Components	Austria	Europe	Akash Gupta	EUR	79	77	-2.5	Jun-27	OW
Vestas	VWS DC	Heavy Electrical Equipment	Denmark	Europe	Akash Gupta	DKK	170.6	216	26.6	Jun-27	OW
NTPC Ltd.	NTPC IN	Independent Power Producers & Energy Traders	India	Asia Ex	Atul Tiwari	INR	355.55	468	31.6	Mar-28	OW
Sembcorp Industries	SCI SP	Multi-Utilities	Singapore	Asia Ex	Terence M Khi	SGD	6.25	5.8	-7.2	Dec-26	N
Huaneng Power - H	902 HK	Independent Power Producers & Energy Traders	China	Asia Ex	Stephen Tsui, CFA	HKD	6.84	4.8	-29.8	Dec-26	UW
China Resources Power	836 HK	Independent Power Producers & Energy Traders	China	Asia Ex	Stephen Tsui, CFA	HKD	19.8	17	-14.1	Dec-26	N

Source: J.P. Morgan Research. Pricing as of COB 17th June 2026

Companies Discussed in This Report (all prices in this report as of market close on 22 June 2026, unless otherwise indicated) Coway(021240.KS/W86,600/OW), HD Hyundai Electric(267260.KS/W1,041,000/OW), Hanwha Solutions Corp(009830.KS/W37,900/OW), Hyosung Heavy Industries(298040.KS/W3,865,000/OW), L&F(066970.KQ/W124,400/OW), LG Chem Ltd(051910.KS/W324,000/OW), LG Energy Solution(373220.KS/W386,500/OW), Nittobo (3110)(3110.T/¥20,680/OW), Samsung C&T(028260.KS/W531,000/OW), Samsung SDI(006400.KS/W534,000/OW), TDK (6762)(6762.T/¥4,063/OW), Tokio Marine Holdings (8766)(8766.T/¥7,298/OW), Toray (3402)(3402.T/¥1,172/OW)

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LG Chem Ltd - J.P. Morgan Credit Opinion History

	Date	Action	Rating/Designation	Ticker/ISIN
Issuer	05 Jun 24	Initiate	Neutral	LGCHM
3.625% due 29 *	05 Jun 24	Initiate	Neutral	USY52758AD47
1.375% due 26	05 Jun 24	Initiate	Neutral	USY52758AE20
2.375% due 31	05 Jun 24	Initiate	Underweight	USY52758AF94
2.375% due 31	29 Oct 25	Upgrade	Neutral	USY52758AF94
4.375% due 25	05 Jun 24	Initiate	Overweight	USY52758AG77
4.375% due 25	11 Sep 25	Terminate	Not Covered	USY52758AG77

LG Energy Solution - J.P. Morgan Credit Opinion History

	Date	Action	Rating/Designation	Ticker/ISIN
Issuer	15 May 25	Initiate	Neutral	LGENSO
Issuer	29 Oct 25	Upgrade	Overweight	LGENSO
5.375% '30 *	29 Oct 25	Initiate	Overweight	USY5S5CGAP79
5.375% '27	29 Oct 25	Initiate	Neutral	USY5S5CGAK82
5.375% '29	29 Oct 25	Initiate	Overweight	USY5S5CGAL65
5.5% '34	29 Oct 25	Initiate	Overweight	USY5S5CGAM49
5.625% due 26	15 May 25	Initiate	Neutral	USY5S5CGAA01
5.625% due 26	29 Oct 25	Terminate	Not Covered	USY5S5CGAA01
5.75% due 28	15 May 25	Initiate	Neutral	USY5S5CGAB83
5.875% '35	29 Oct 25	Initiate	Overweight	USY5S5CGAR36

***Indicates representative/primary bond/instrument.**

The table(s) above show the recommendation changes made by J.P. Morgan Credit Research Analysts in the subject company and/or instruments over the past three years (or, if no recommendation changes were made during that period, the most recent change). Notes: Effective April 11, 2016, J.P. Morgan changed its Credit Research Ratings System. Please see the Explanation of Credit Research Ratings below for the new definitions. The previous rating system no longer should be relied upon. For the history prior to April 11, 2016, please call 1-800-447-0406 or e-mail research.disclosure.inquiries@jpmorgan.com.

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